

Private Placements

Borderline Suitability Hypotheticals

20 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Borderline Scenario 1

Topic: *private_placements_unsuitable* | Standard: FINRA Rule 2111 (Suitability - customer-specific and reasonable-basis component)

Fact Pattern

In March 2023, financial advisor Derek Holloway at a mid-sized broker-dealer recommended that his client, Margaret Sung, age 62, invest \$175,000 in a Regulation D private placement offering from Meridian Infrastructure Partners IV, a fund focused on investment-grade private credit lending to mid-market companies in the energy infrastructure and municipal utility sectors. The minimum investment was \$150,000 and the fund carried a seven-year lockup with no redemption rights during the first three years, followed by quarterly redemption windows subject to a 5% quarterly gate. The offering memorandum projected annual yields of 6.8%-7.5%, primarily from coupon income on senior secured loans to investment-grade or near-investment-grade borrowers.

Margaret had a total liquid net worth of approximately \$1.9 million, consisting of \$620,000 in a 401(k) rollover IRA, \$430,000 in a joint brokerage account with her husband, \$310,000 in municipal bonds held directly, \$180,000 in a money market account, and approximately \$360,000 in various equity mutual funds. She also owned her home outright, valued at roughly \$575,000. Her combined household income from her part-time consulting work and her husband's pension was \$142,000 annually. She listed her investment objective as 'income with moderate growth' and her risk tolerance as 'moderate' on her account documentation, which was updated eight months prior to the recommendation. She indicated a time horizon of '10+ years' and noted that she did not anticipate needing the invested funds for at least five years.

Holloway had conducted his own review of the Meridian offering, attending two due diligence calls hosted by the fund sponsor, reviewing the private placement memorandum, and examining audited financials for Meridian's three predecessor funds, which had returned between 5.9% and 7.1% annually with no defaults. He also reviewed a third-party due diligence report commissioned by his broker-dealer's alternative investments department, which rated the offering as 'suitable for accredited investors with moderate risk tolerance and limited liquidity needs.' His firm had approved the product for its platform after a six-week review process.

However, several complicating factors existed. Margaret's husband, Alan, age 67, had recently been diagnosed with early-stage Parkinson's disease, though the couple had not disclosed this to Holloway at the time of the investment. Margaret later stated she had mentioned to Holloway in a phone call three weeks before the investment that Alan was 'dealing with some health issues' but characterized them as 'nothing too serious right now.' Holloway's notes from that call reference Margaret saying Alan had 'a

doctor's appointment coming up' but contain no details about the nature of the health concern.

Additionally, the \$175,000 investment represented approximately 9.2% of Margaret's liquid portfolio. After the investment, her illiquid holdings (including this private placement and a \$95,000 position in a non-traded REIT purchased two years earlier from a different advisor) would total approximately \$270,000, or roughly 14.2% of her liquid net worth.

Sixteen months after the investment, Margaret filed a complaint alleging the recommendation was unsuitable because the illiquid nature of the investment was inappropriate given her husband's deteriorating health and the couple's potential need for funds to cover long-term care. She noted that she had attempted to redeem her position after the diagnosis progressed but was told the fund was still within its no-redemption period. She further alleged that Holloway failed to ask sufficient questions about her husband's health situation before recommending the investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuinely difficult question that turns on several competing considerations.

Arguments that Holloway violated applicable standards:

1. Under FINRA Rule 2111 (Suitability) and its customer-specific suitability component, a broker must have a reasonable basis to believe a recommendation is suitable for the particular customer based on that customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, and other factors. Regulation Best Interest (Rule 15l-1) heightens this to a best interest standard under its Care Obligation, requiring the advisor to exercise reasonable diligence, care, and skill in making the recommendation. Margaret was 62, her husband was 67 with emerging health concerns, and the product carried a multi-year lockup. A regulator could argue that the combination of the client's age, the vague but present health disclosure ('dealing with some health issues'), and the seven-year lockup should have prompted Holloway to ask more probing follow-up questions before proceeding.
2. FINRA Regulatory Notice 10-22 places an affirmative reasonable investigation duty on firms and their registered representatives when recommending private placements. This includes understanding the risks and features of the product and evaluating whether the product's characteristics match the customer's needs. The illiquidity feature is central to this product, and Holloway arguably should have conducted a more thorough inquiry into Margaret's evolving personal circumstances - particularly after she mentioned her husband's health - before locking up 9.2% of her liquid assets for up to seven years.
3. The cumulative illiquidity concentration of 14.2% in a portfolio belonging to a couple in their 60s, one of whom had disclosed health concerns, could be viewed as excessive. NASAA guidance on DPP and illiquid investment recommendations has emphasized that concentration in illiquid products is a red flag, particularly for older investors.
4. Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives. A regulator

might ask whether publicly traded investment-grade credit funds or even direct investment-grade bond purchases could have provided similar income with far greater liquidity.

Arguments that Holloway did NOT violate applicable standards:

1. The investment represented only 9.2% of Margaret's liquid net worth and her total illiquid concentration was 14.2% - well below the 20-25% thresholds that many firms and regulators have used as informal guidelines for illiquid concentration. She retained over \$1.6 million in liquid assets after the investment.
2. Margaret's stated investment profile - moderate risk tolerance, income with moderate growth objective, and a 10+ year time horizon - was facially consistent with the characteristics of an investment-grade private credit fund generating 6.8-7.5% annual income. Her customer documentation, updated relatively recently, supported the recommendation.
3. Margaret did not disclose the nature or severity of her husband's condition. She characterized it as 'nothing too serious right now,' and Holloway's notes reflect only a generic reference to a doctor's appointment. The question of how far an advisor must probe into vague personal health disclosures is genuinely uncertain. There is a difference between a client saying 'my husband has been diagnosed with a serious illness' and 'he's dealing with some health issues, nothing too serious.'
4. Holloway conducted meaningful due diligence: he attended sponsor calls, reviewed audited predecessor fund financials, and relied on both a third-party due diligence report and his firm's product approval. This aligns with the reasonable investigation duties outlined in FINRA RN 10-22.
5. The product itself - investment-grade private credit with senior secured lending to infrastructure borrowers - is meaningfully different from the high-risk, opaque private placements that have historically generated enforcement actions (such as the GPB Capital cases, which involved alleged fraud, valuation failures, and lack of audited financials). This was a legitimate, audited product with a track record.
6. Margaret is an accredited investor by any measure, and the fund was specifically designed for investors in her financial bracket.

Why Borderline

This scenario is borderline because the investment was facially suitable based on the client's documented profile, represented a modest portfolio allocation, and was supported by meaningful due diligence. However, the client's vague disclosure about her husband's health - which later proved to be a serious, progressive neurological condition - creates a question about how deeply an advisor must investigate ambiguous personal disclosures before recommending an illiquid product with a multi-year lockup. The advisor had some information that could have prompted further inquiry but also had reasonable grounds to rely on the client's own characterization that the health matter was 'nothing too serious.' Regulators and practitioners could genuinely disagree on whether the advisor's level of inquiry met the applicable standard.

Borderline Factors

- Client's vague, minimizing disclosure about husband's health versus advisor's duty to probe further before recommending illiquid products

- Illiquid concentration at 14.2% - elevated for a couple in their 60s but below commonly cited problematic thresholds
- Investment-grade private credit is a materially different risk profile than the high-risk private placements typically subject to enforcement actions
- Advisor conducted meaningful product-level due diligence but arguably insufficient customer-specific due diligence regarding evolving personal circumstances
- Client's documented investment profile (10+ year horizon, moderate risk, income objective) was facially consistent with the recommendation
 - Hindsight bias concern: the husband's diagnosis progressed after the investment, making the recommendation appear worse in retrospect than it was at the time
- Availability of more liquid alternatives (publicly traded credit funds) that could have met similar income objectives

Likely Outcome

A regulator would likely find this a close case but would probably conclude that Holloway's conduct fell slightly short of applicable standards, particularly under the heightened Reg BI Care Obligation. The key issue is not the product selection itself - which was reasonable - but the failure to follow up meaningfully on the client's disclosure about her husband's health before recommending a product with a three-year hard lockup. A panel or examiner would likely find that a prudent advisor, upon hearing that a 67-year-old client's spouse was 'dealing with health issues,' should have asked at least basic follow-up questions before committing 9.2% of the household's liquid assets to a seven-year illiquid vehicle. However, sanctions would likely be modest - perhaps a fine and a requirement for enhanced supervisory procedures - rather than severe, given the overall reasonableness of the allocation, the quality of product-level diligence, and the client's own role in minimizing the health disclosure.

Borderline Scenario 2

Topic: *illiquid_real_estate_investment* | Standard: *FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and*

Fact Pattern

In March 2021, financial advisor Derek Halloran recommended that his client, Patricia Evanston, age 62, invest \$175,000 in a non-traded real estate investment trust called Meridian Healthcare Properties, which focused on acquiring medical office buildings and outpatient surgical centers across the Sun Belt states. Patricia was a recently retired hospital administrator with a pension paying \$6,200 per month, Social Security benefits of \$2,400 per month, and a liquid investment portfolio of approximately \$1.4 million, split between a rollover IRA (\$980,000) and a taxable brokerage account (\$420,000). Her home was paid off and valued at roughly \$650,000. She listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her time horizon as '10-15 years.' She had no immediate liquidity needs and told Derek in a recorded meeting that she was 'comfortable locking up some money for a while if the income is steady.' The Meridian offering paid a 6.2% annualized distribution, had a minimum seven-year hold period before any anticipated liquidity event, carried a front-end load of 8.5% in commissions and fees, and disclosed in its offering memorandum that distributions could be funded in part from offering proceeds rather than operating income. Derek conducted due diligence on the sponsor, who had completed two prior non-traded REIT programs that ultimately listed on a national exchange, though one had traded at 30%

below its original offering price upon listing. Derek documented a call with the sponsor's management team, reviewed audited financials, and attended a due diligence conference hosted by the program's wholesaler. He did not, however, independently verify occupancy rates at the sponsor's existing properties or retain a third-party analyst to evaluate the offering's projections. The \$175,000 investment represented approximately 12.5% of Patricia's total liquid portfolio. Her remaining portfolio was diversified across large-cap equities, investment-grade bonds, and a money market fund. Six months after the investment, Meridian suspended its share repurchase program due to heavy redemption requests driven by rising interest rates, effectively eliminating Patricia's only path to early liquidity. Patricia filed a complaint in early 2023, alleging that Derek failed to adequately investigate the offering and that the illiquid investment was inappropriate given her age and retirement status.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuine tension between a seemingly reasonable recommendation and several risk factors that regulators frequently scrutinize. Arguments that Derek acted appropriately: (1) The \$175,000 allocation represented only 12.5% of Patricia's liquid assets, which falls within the concentration thresholds many firms set for alternative investments (often 10-20% depending on the client profile). (2) Patricia had substantial guaranteed income from pension and Social Security totaling \$8,600/month, reducing her dependence on portfolio liquidity. (3) She explicitly stated comfort with locking up capital for income purposes, and her 10-15 year time horizon was consistent with the product's seven-year anticipated hold period. (4) Her investment objectives-income with moderate growth-aligned with the stated characteristics of the healthcare REIT. (5) Derek conducted meaningful due diligence: he reviewed audited financials, spoke with management, and attended a wholesaler conference. Under FINRA Rule 2111 and Regulatory Notice 10-22, a member firm and its associated persons have a reasonable-basis suitability obligation (the product must be suitable for at least some investors), a customer-specific suitability obligation (the product must be suitable for this particular customer), and a quantitative suitability obligation. FINRA RN 10-22 specifically addresses the heightened due diligence obligations for private placements and direct participation programs, requiring a 'reasonable investigation' of the issuer and the securities being offered. Arguments that Derek may have fallen short: (1) The front-end load of 8.5% significantly eroded Patricia's initial investment, and the disclosure that distributions could be partially funded from offering proceeds (return of capital) rather than actual earnings is a red flag that regulators have cited in numerous non-traded REIT enforcement actions. Derek's failure to independently verify occupancy rates or engage a third-party analyst could be characterized as falling below the reasonable investigation standard articulated in RN 10-22. (2) The sponsor's mixed track record-one prior program traded at a 30% discount upon listing-warranted deeper scrutiny. (3) While 12.5% concentration is not extreme, Patricia was 62 and retired, meaning her ability to recover from a loss in an illiquid product was diminished compared to a younger, still-earning investor. Under Regulation Best Interest (Rule 15l-1), if this transaction occurred in a broker-dealer context, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile, the potential risks, rewards, and costs, and that there is no reasonably available alternative that would better serve the customer's interest. The 8.5% front-end load is relevant here, as lower-cost traded REITs with healthcare exposure could have provided similar income with daily liquidity. NASAA guidance on DPP suitability has historically flagged non-traded REITs for retired investors, emphasizing that illiquidity risk is magnified for

clients who may need funds for healthcare or other unexpected retirement expenses, even when the client professes no immediate liquidity needs. The suspension of the share repurchase program-while not foreseeable-illustrates the very illiquidity risk that regulators expect advisors to stress-test and discuss explicitly with clients.

Why Borderline

The case sits in a gray zone because the advisor performed meaningful (though arguably incomplete) due diligence, the concentration level was moderate rather than extreme, the client had strong guaranteed income and expressly consented to illiquidity, and her stated objectives aligned with the product. However, the high front-end costs, the return-of-capital distribution structure, the sponsor's mixed history, and the client's age and retirement status all represent factors that regulators have used to find violations in similar contexts. Reasonable practitioners could disagree on whether the due diligence was 'enough' and whether the product truly served this client's best interest given available alternatives.

Borderline Factors

- 12.5% concentration is within typical firm limits but in an illiquid product for a retiree
- Client had strong pension and Social Security income reducing actual liquidity dependence
- Client explicitly stated comfort with illiquidity, documented in a recorded meeting
 - Advisor conducted due diligence but did not independently verify key property-level data or use third-party analysis
- 8.5% front-end load is high relative to liquid alternatives offering similar exposure
- Distributions partially funded by return of capital rather than operating income
- Sponsor had mixed track record with one prior program listing at a significant discount
- 10-15 year time horizon was consistent with product's hold period but client was already 62
- Lower-cost, more liquid traded healthcare REITs existed as potential alternatives
- Share repurchase program suspension was not foreseeable but highlighted inherent illiquidity risk

Likely Outcome

A regulator would likely find a partial violation, focusing primarily on the adequacy of the reasonable investigation rather than the customer-specific suitability. The due diligence gaps-failure to independently verify occupancy data and reliance on wholesaler-hosted conferences rather than independent analysis-fall below the standard articulated in FINRA RN 10-22. However, the customer-specific suitability analysis is closer to defensible given the moderate concentration, strong guaranteed income, expressed comfort with illiquidity, and matching time horizon. A panel might impose a modest fine and require enhanced supervisory procedures rather than ordering full restitution, recognizing that the recommendation was not egregiously unsuitable but that the investigation process was insufficient to satisfy the heightened duty applicable to illiquid private placements. Under Reg BI, a regulator might additionally examine whether the advisor considered reasonably available alternatives with lower costs and greater liquidity, which would strengthen the case for a violation of the Care Obligation.

Borderline Scenario 3

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quan

Fact Pattern

Margaret Thornton, age 74, is a retired school principal with a net worth of approximately \$2.1 million, including a paid-off home valued at \$450,000, \$980,000 in retirement accounts (mix of mutual funds and CDs), \$520,000 in a taxable brokerage account, and \$150,000 in bank savings. She receives \$4,200 per month in pension income and \$2,800 per month in Social Security, totaling \$84,000 annually-sufficient to cover her \$5,500 monthly living expenses with a modest surplus. Her health is generally good, though she takes medication for mild hypertension. She has two adult children and has expressed interest in eventually leaving a meaningful inheritance.

Her financial advisor of nine years, David Kowalski, age 52, recommended in March 2022 that Margaret invest \$150,000 from her taxable brokerage account into a non-traded real estate investment trust focused on senior housing and medical office buildings. The product had a minimum seven-year holding period, paid a stated 6.5% annual distribution (partially classified as return of capital), carried upfront fees and commissions totaling 11.2%, and had no secondary market for shares. The sponsor had a ten-year track record operating three prior programs, two of which returned investors' capital plus modest gains, and one of which was still operating and current on distributions.

Kowalski conducted diligence on the sponsor by reviewing the offering memorandum, attending a due diligence conference hosted by the sponsor, speaking with the sponsor's CFO, and reviewing audited financials for the prior programs. He did not engage any independent third-party due diligence firm or review any independent research reports on the product. His firm's internal product review committee had approved the offering for sale after a six-week review process.

Margaret's new account form listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' her time horizon as '10+ years,' and her liquidity needs as 'low.' Kowalski documented in his notes that Margaret specifically wanted income-producing real estate exposure and was frustrated with low CD yields. He also noted that she understood the investment was illiquid and that she would not need the \$150,000 for at least a decade, as her pension and Social Security more than covered her expenses. Margaret signed a subscription agreement that included risk disclosures about illiquidity, loss of principal, and the lack of a public trading market.

The \$150,000 allocation represented approximately 7.1% of her total net worth and roughly 9.1% of her investable financial assets (excluding her home). After the investment, she retained \$370,000 in her taxable brokerage account in diversified equity and bond funds, \$980,000 in retirement accounts, and \$150,000 in bank savings.

In late 2023, Margaret's daughter, who holds an MBA, reviewed her mother's accounts and filed a complaint, alleging that a 74-year-old retiree should never have been placed in an illiquid, high-commission product with a seven-year lockup. The daughter pointed out that Margaret would be 81 before she could access the funds, that the high upfront fees eroded initial value, and that her mother did not fully appreciate the risks despite signing the documents. She also noted that Margaret had begun showing early signs of mild cognitive decline in late 2023, raising questions about whether her decision-making had already been subtly impaired in early 2022.

Kowalski's firm noted that Margaret had passed an internal senior investor review at the time of the transaction, which included a phone call from a registered principal who confirmed Margaret's understanding of the product. The firm also pointed out that the allocation was modest relative to Margaret's overall portfolio, that she had ample liquidity in other accounts, and that the product was performing as expected with distributions being paid on schedule.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Margaret was 74 at the time of the recommendation, meaning she would be 81 or older before she could reasonably access the invested capital. For a senior investor, the combination of a seven-year illiquidity lockup, 11.2% upfront fees (which immediately reduce the effective value of the investment), and the absence of a secondary market raises significant concerns. The high commission structure could suggest a conflict of interest that was not adequately mitigated. Even though Margaret signed disclosure documents, the daughter's allegation of emerging cognitive decline—even if mild—introduces a question about whether informed consent was truly obtained. Regulators have historically scrutinized non-traded REIT sales to seniors, particularly where the product's illiquidity timeline extends well into the client's late 70s or 80s, a period when unexpected health expenses or life changes frequently arise. The advisor's due diligence, while not negligible, did not include independent third-party review, which some regulators have indicated is a best practice and potentially a component of the reasonable-basis obligation for complex private placements.

Arguments against a violation: The \$150,000 allocation was approximately 7.1% of Margaret's total net worth and less than 10% of investable assets—a position that many practitioners would consider moderate concentration for an alternative asset. Margaret retained over \$1.5 million in liquid and semi-liquid assets after the investment, and her monthly income exceeded her expenses by roughly \$1,500. Her stated investment objectives included income generation and a 10+ year time horizon, and the product aligned with her expressed interest in real estate income. The advisor documented the rationale, the client's understanding of illiquidity, and the firm conducted a senior investor review with a principal confirmation call. The sponsor had a reasonable track record, and the advisor attended due diligence events and reviewed audited financials. The firm's product review committee had approved the offering. The cognitive decline allegation is retrospective—there is no evidence that Margaret exhibited impairment at the time of the transaction, and the firm's contemporaneous documentation suggests she was competent and engaged. Many compliant portfolios for seniors include some allocation to illiquid alternatives when overall liquidity is sufficient.

Why Borderline

This scenario sits in genuine gray territory because the quantitative factors—modest concentration, ample remaining liquidity, income surplus, and documented client understanding—cut in the advisor's favor, while the qualitative factors—client age, seven-year lockup extending to age 81, high upfront fees, potential early cognitive decline, and lack of independent third-party due diligence—cut against. Reasonable regulators could disagree on whether the allocation size and client's overall financial picture sufficiently mitigate the inherent risks of selling a locked-up, high-commission product to a 74-year-old, or whether the advisor's due diligence process was adequate without independent research. The retrospective cognitive decline

allegation further complicates matters, as it is unclear whether it was detectable in March 2022.

Borderline Factors

- Client age of 74 with a 7-year illiquidity lockup extending to age 81, creating tension between stated time horizon and actuarial reality
- Modest allocation at ~7% of net worth with substantial remaining liquidity versus high upfront fees of 11.2% that disproportionately erode value for a senior investor
- Documented client understanding and signed risk disclosures versus daughter's allegation of emerging cognitive decline that may have been present but undetected at the time of sale
- Advisor conducted meaningful but not exhaustive due diligence-no independent third-party review-raising the question of where the line falls for reasonable investigation
- Firm's internal senior investor review and principal confirmation call were completed, suggesting procedural compliance, but the substance of those protections is debatable
- Client's expressed frustration with low CD yields may have created behavioral pressure to accept higher-risk alternatives, raising questions about whether the recommendation was advisor-driven or client-driven
- The product was performing as expected with distributions current, which some would argue validates the recommendation while others would note this is irrelevant to the suitability analysis at the time of sale

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, provided the firm can demonstrate the adequacy of its contemporaneous documentation and senior investor review process. The modest concentration, ample remaining liquidity, and documented client understanding weigh heavily in the advisor's favor. However, the regulator might issue findings of supervisory deficiency regarding the lack of independent third-party due diligence on the product and might require enhanced senior investor protections going forward. If evidence emerged that Margaret's cognitive decline was detectable in early 2022-for instance, through medical records or witness testimony-the outcome could shift significantly toward a finding of unsuitability. The 11.2% upfront fee structure would also draw scrutiny under a best-interest analysis, as the regulator would evaluate whether a lower-cost alternative could have achieved similar income objectives without the illiquidity and fee drag.

Borderline Scenario 4

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability obligations requiring

Fact Pattern

Margaret Colton, age 74, is a retired high school principal with a net worth of approximately \$2.1 million, of which \$1.55 million is in investable assets. Her annual income from her state pension and Social Security totals \$78,000. She has no mortgage and lives modestly in a home she owns outright, valued at approximately \$400,000. Her stated investment objective on her new account form is "growth and income" with a moderate risk tolerance. She has a 15-year investment history, primarily in blue-chip stocks, municipal bonds, and diversified mutual funds. She has no prior experience with alternative investments.

In March 2021, her financial advisor, Daniel Fitch, age 42, with 16 years of industry experience,

recommended that Margaret allocate \$155,000 - roughly 10% of her investable portfolio - into a non-traded real estate investment trust (REIT) called Heartland Healthcare Properties, which focused on acquiring medical office buildings and senior care facilities in the Midwest. The REIT had a minimum seven-year expected hold period, paid a 6.5% annualized distribution, and charged upfront fees totaling approximately 12% (including selling commissions, dealer manager fees, and organizational costs). The REIT's sponsor had been in business for nine years and had successfully listed one prior non-traded REIT program, though that listing resulted in investors receiving shares valued at roughly 15% below their original purchase price.

Daniel conducted a 90-minute meeting with Margaret and her daughter, Karen, age 48, who holds a CPA license and manages a small accounting firm. During the meeting, Daniel explained the illiquid nature of the investment, the fee structure, the distribution rate, the expected hold period, and the risks of investing in healthcare-related real estate. He noted that the distribution could be partially funded by offering proceeds rather than operating income, and that there was no guarantee of principal return. He provided the prospectus and a separate one-page summary of key risks he had prepared. Karen asked several pointed questions about the fee structure, the sponsor's track record, and whether the distribution was sustainable, to which Daniel responded with information from the prospectus and the sponsor's due diligence materials.

Margaret signed a suitability questionnaire that included a specific acknowledgment of the illiquid nature and long time horizon. She also signed a supplemental disclosure form indicating she understood the investment could lose value, that distributions were not guaranteed, and that her capital would be locked up for an extended period. Daniel's notes reflect that Margaret stated she did not anticipate needing the \$155,000 within the next decade and wanted the income stream to supplement her pension.

Daniel's firm had conducted its own due diligence on the Heartland Healthcare Properties offering, approving it for sale after a review by the firm's alternative investments committee. The committee's approval memo noted concerns about the 12% front-end load but concluded the product was "appropriate for investors with long time horizons and moderate income needs who can tolerate illiquidity."

Eighteen months after the investment, Margaret was diagnosed with early-stage Alzheimer's disease. Her daughter Karen attempted to liquidate the REIT position to help pay for assisted living costs, but the REIT's share repurchase program had been suspended due to excess redemption requests. Margaret's \$155,000 investment was effectively trapped. Karen filed a complaint alleging that her mother should never have been placed in a seven-year illiquid product at age 74, regardless of her stated time horizon and net worth, and that Daniel failed to adequately account for the health risks inherent in recommending locked-up investments to elderly clients.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents competing considerations that reasonable parties could evaluate differently.

Arguments that Daniel violated applicable standards:

1. Under FINRA Rule 2111 (Suitability) and its customer-specific component, a recommendation must be

suitable based on the customer's age, financial situation, needs, investment objectives, time horizon, liquidity needs, and risk tolerance. Margaret was 74 years old. While she stated she did not need the funds for a decade, the statistical reality is that investors in their mid-70s face elevated risks of health emergencies, cognitive decline, and unexpected liquidity needs. FINRA Regulatory Notice 10-22 specifically addresses member firms' reasonable investigation duties regarding private placements, including non-traded REITs, and emphasizes that firms must go beyond the issuer's offering documents to independently evaluate the investment's merits and risks.

2. FINRA and NASAA have brought numerous enforcement actions involving non-traded REITs sold to senior investors. NASAA's guidance on direct participation programs and non-traded REITs has consistently flagged the unsuitability of illiquid, long-duration products for elderly investors whose time horizons may not realistically match the product's lock-up period. Several state regulators have adopted or recommended concentration limits (often 10% of liquid net worth) for non-traded REITs, and while Margaret's allocation was at that threshold, the combination of her age and the product's illiquidity creates heightened concern.

3. Under Regulation Best Interest (Rule 15l-1), applicable to broker-dealer recommendations after June 30, 2020, Daniel had an obligation to act in Margaret's best interest at the time of the recommendation and could not place his own interest ahead of hers. The Care Obligation under Reg BI requires consideration of reasonably available alternatives. A listed REIT, REIT mutual fund, or REIT ETF could have provided similar real estate exposure with daily liquidity, lower fees, and transparency - raising the question of whether the non-traded REIT was in Margaret's best interest when liquid alternatives existed.

4. The 12% front-end load meant that only approximately \$136,400 of Margaret's \$155,000 was actually invested in real estate assets. This significant cost drag, combined with the sponsor's prior program listing at a 15% discount to offering price, arguably should have given Daniel pause. GPB Capital and similar enforcement matters have underscored regulators' expectations that advisors and firms conduct meaningful independent due diligence rather than relying on sponsor-provided materials.

5. FINRA Rule 2010 (Standards of Commercial Honor) could also be implicated if the recommendation is viewed as inconsistent with just and equitable principles of trade, particularly given the vulnerability of a senior investor.

Arguments that Daniel did NOT violate applicable standards:

1. Margaret had \$1.55 million in investable assets, and the \$155,000 allocation represented approximately 10% of her portfolio - a commonly accepted concentration threshold. She had \$78,000 in guaranteed annual income, no debt, and a \$400,000 home. Even without the REIT investment, she had roughly \$1.4 million in liquid assets plus her pension and Social Security, providing ample resources for foreseeable needs.

2. Daniel conducted a thorough disclosure process. The 90-minute meeting included Margaret's financially sophisticated daughter, who asked informed questions. Margaret signed multiple acknowledgment forms confirming her understanding of illiquidity, risk of loss, and the long time horizon. The process was

well-documented.

3. The firm's alternative investments committee independently reviewed and approved the offering, adding an institutional layer of due diligence beyond Daniel's individual assessment.

4. Margaret's stated investment objective was growth and income, and the 6.5% distribution rate served her expressed desire for income supplementation. Her stated time horizon of 10+ years for these funds aligned with the product's seven-year expected hold period.

5. The subsequent Alzheimer's diagnosis was not foreseeable at the time of the recommendation. Suitability and best interest obligations are evaluated as of the time of the recommendation, not with hindsight. A 74-year-old in apparent good health stating a 10-year time horizon is not per se unreasonable.

6. Age alone is not a disqualifying factor. Many regulators and arbitration panels have recognized that wealthy seniors with long time horizons and adequate liquid reserves may appropriately allocate a modest portion of their portfolios to illiquid investments.

Why Borderline

This scenario sits in a genuine gray area because the advisor followed a thorough process - extensive disclosure, involvement of a sophisticated family member, firm-level due diligence approval, documented client acknowledgments, and a concentration level at the commonly accepted threshold. However, the client's age (74), the product's extreme illiquidity (seven-year lock-up with no guaranteed exit), the 12% front-end fee load, and the availability of liquid REIT alternatives all create substantial grounds for regulatory concern. The unforeseeable health event (Alzheimer's diagnosis) transforms what might have been a tolerable illiquid allocation into a real harm, but suitability is judged at the time of recommendation. Reasonable regulators could disagree on whether a 10% non-traded REIT allocation is appropriate for any 74-year-old, regardless of wealth and process.

Borderline Factors

- Client's age (74) versus her substantial net worth and guaranteed income streams that provided financial cushion beyond the invested amount
- Thorough disclosure process with CPA daughter present versus the inherent difficulty of any investor truly understanding illiquidity risk until it materializes
- 10% concentration at the commonly cited threshold - not clearly over the line but at the boundary
- Firm-level due diligence approval adding institutional validation versus the question of whether firm approval should have excluded 70+ investors
- Availability of liquid REIT alternatives with similar exposure but lower fees and daily redemption capability
- 12% front-end load reducing effective investment by nearly \$19,000 - significant but standard for the non-traded REIT industry at the time
- Sponsor's prior program listing at a 15% discount suggesting historical underperformance relative to offering price
- Client's stated 10-year time horizon versus actuarial and health risk realities for a 74-year-old
- Unforeseeable Alzheimer's diagnosis creating the actual harm - raises hindsight bias concerns in regulatory evaluation

- Share repurchase program suspension eliminating even the limited liquidity the product nominally offered

Likely Outcome

A regulator would likely find this a close case but would probably conclude that the recommendation was at minimum problematic under both legacy suitability standards and the newer best interest framework. While the process was notably thorough, regulators have increasingly taken the position that non-traded REITs with seven-year lock-ups and 12% front-end loads are presumptively problematic for investors over 70, regardless of net worth, absent truly compelling justification. The availability of liquid REIT products offering comparable real estate exposure at a fraction of the cost would be a significant factor under Reg BI's Care Obligation, which requires consideration of reasonably available alternatives. A FINRA arbitration panel might award partial damages, recognizing the strong disclosure process but finding that the advisor should have steered toward a liquid alternative. A state regulator following NASAA guidance might be more aggressive in finding a violation. The most likely outcome is a finding of a violation with mitigated sanctions or a negotiated settlement, with the firm's due diligence process and disclosure documentation serving as mitigating rather than exonerating factors.

Borderline Scenario 5

Topic: private_placements_unsuitable | Standard: FINRA Rule 2111 (Suitability) - requires that recommendations be suitable based

Fact Pattern

Marcus Delray, a 58-year-old dentist practicing in suburban Atlanta, had maintained a brokerage account with Coastal Wealth Partners for eleven years. His account held approximately \$2.1 million in diversified assets, including \$840,000 in publicly traded equities, \$620,000 in municipal bonds, \$290,000 in money market funds, and \$350,000 in a prior non-traded REIT he had purchased four years earlier, which was still locked up. Delray earned approximately \$380,000 annually from his dental practice and owned his clinic building outright, valued at roughly \$1.4 million. He had no significant personal debt. His stated investment objective on his most recent account form, completed eighteen months prior, listed 'growth with moderate income' and a risk tolerance of 'moderate.' He had checked 'no' on the liquidity needs question, indicating he did not anticipate needing funds within five years. He had a projected retirement horizon of eight to ten years.

In March 2021, his advisor, Trevor Halston, a twelve-year industry veteran, recommended that Delray invest \$275,000 in a private placement offering from Ashford Industrial Partners IV, a Regulation D offering structured as a direct participation program investing in light industrial warehouse properties across the Sun Belt. The offering projected annualized distributions of 6.2% with a five-to-seven-year hold period before a liquidity event. Halston received a 7% selling commission on the transaction, amounting to \$19,250, plus a 1% due diligence fee, totaling roughly \$21,175 in total compensation from the transaction.

Halston conducted a two-hour due diligence call with the Ashford sponsor team and reviewed a 112-page private placement memorandum. He took notes, retained a copy of the PPM in the client file, and prepared a one-page handwritten summary of the deal terms for Delray. He did not independently verify the sponsor's claimed track record on two prior funds, one of which, he would later learn, had returned investor capital at roughly break-even after fees rather than the projected 8% annualized return the sponsor had

described verbally on the call. Halston did not ask the sponsor for audited financial statements on the prior funds, though he did review unaudited performance summaries provided in the PPM appendix. The broker-dealer's internal approval checklist for private placements required only that advisors certify they had 'reviewed offering documents' and confirmed customer accredited investor status, which Halston did. Delray qualified as an accredited investor by a wide margin.

At the time of the recommendation, the \$275,000 investment represented approximately 13% of Delray's total liquid investable assets (excluding the clinic building). When combined with the \$350,000 already in the non-traded REIT, his total illiquid private investment exposure reached approximately \$625,000, or roughly 30% of his liquid portfolio. Delray told Halston during their meeting that he was 'comfortable being patient' and that the industrial real estate thesis 'made a lot of sense' given e-commerce tailwinds. He signed all subscription documents and initialed each page of the investor acknowledgment, including a section noting the investment was illiquid and speculative.

By late 2022, Ashford Industrial Partners IV had suspended distributions, citing rising interest rate pressures on its floating-rate debt. The fund indicated that a liquidity event was unlikely before 2028 at the earliest. Delray, now 59, had also begun considering an earlier retirement due to physical issues with his wrists affecting his ability to perform dental procedures, a circumstance he had not disclosed to Halston and that Halston had not specifically asked about. Delray filed a customer complaint alleging the investment was unsuitable given his approaching retirement and concentration in illiquid holdings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation finding: Trevor Halston's due diligence process, while facially compliant with his broker-dealer's internal checklist, fell short of the reasonable investigation standard that regulators have articulated for private placement recommendations. FINRA Regulatory Notice 10-22 makes clear that a broker's obligation to conduct a reasonable investigation of the issuer is independent of the broker-dealer's internal approval process, and that merely reviewing offering documents does not satisfy the duty when accessible red flags exist. Here, the sponsor verbally represented a track record that materially diverged from what audited or independently verifiable data would have shown. A reasonably diligent advisor would have requested audited financials on prior funds or at minimum flagged the discrepancy between the sponsor's verbal claims and the unaudited summaries. The compensation structure - over \$21,000 in total fees on a single transaction - creates a material conflict of interest under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), which requires that such conflicts be disclosed and mitigated, not merely disclosed. Critics would also note that 30% combined illiquid exposure is a meaningful concentration for someone eight to ten years from retirement, particularly in an environment where interest rates could stress leveraged real estate. FINRA's guidance on direct participation programs has consistently flagged concentration in illiquid investments as a heightened suitability concern, and NASAA's model rules on DPP suitability suggest that illiquid exposure generally should not exceed 10% of net worth for most retail investors, though Delray's net worth by any measure was substantial. The five-to-seven-year hold period, on its face, ran to the outer edge of or beyond Delray's stated investment horizon.

Arguments against a violation finding: Delray was a financially sophisticated, high-income professional who qualified as an accredited investor by a wide margin. His net worth, including the clinic building, likely exceeded \$3.5 million, making the \$275,000 investment represent roughly 7-8% of total net worth - a concentration level that is defensible under almost any framework. He affirmatively stated he was comfortable with illiquidity, had checked 'no' on liquidity needs, and demonstrated genuine engagement with the investment thesis during the meeting. He initialed investor acknowledgment language specifically warning of illiquidity and speculative risk. His eight-to-ten-year horizon at the time of purchase technically accommodated the five-to-seven-year hold period, leaving a meaningful buffer. Halston did conduct a two-hour sponsor call, reviewed a 112-page PPM, retained documentation, and prepared a client summary - behavior that meaningfully exceeds the bare minimum and reflects genuine engagement. The fact that the investment later underperformed due to an unforeseen interest rate environment does not, standing alone, render a recommendation unsuitable at the time it was made. Under both the suitability and Reg BI frameworks, the analysis is prospective and based on information reasonably available at the time of the recommendation. Delray's undisclosed health concerns and potential early retirement, which he never communicated to Halston, cannot be imputed to the advisor. The broker-dealer's internal process, while minimal, was formally satisfied. The industrial warehouse thesis was broadly consistent with mainstream real estate analysis circa early 2021.

Why Borderline

This scenario is genuinely gray because the due diligence gap - failing to verify the sponsor's prior fund performance - is real but not egregious, falling somewhere between the thorough independent investigation regulators prefer and the rubber-stamp review they condemn. The customer's profile cuts in multiple directions: sophisticated, wealthy, and long-horizon, yet approaching retirement with existing illiquid exposure. The investment performed badly due to macro rate movements that were not widely anticipated in early 2021. The undisclosed health deterioration creates a causation puzzle. Compensation is meaningful but not extraordinary for a private placement. Reasonable regulators could weigh these factors very differently.

Borderline Factors

- Due diligence was conducted but did not include independent verification of sponsor track record, creating a gap that falls between thorough and reckless
- Customer's 30% combined illiquid exposure is elevated but arguably proportionate given his total net worth including real estate holdings
- Eight-to-ten year retirement horizon technically accommodated the five-to-seven year hold period, though with limited margin
- Customer affirmatively expressed comfort with illiquidity and signed detailed risk acknowledgments
- Undisclosed health concerns affecting retirement timeline were unknown to the advisor and never solicited
- Total compensation of roughly \$21,000 creates a conflict but is not unusually high by private placement market norms
- Investment underperformed due to macro interest rate environment that was not broadly anticipated at time of recommendation
- Broker-dealer's internal checklist was facially satisfied, raising questions about firm-level versus advisor-level culpability
- Customer's accredited investor status and demonstrated financial sophistication weigh against

paternalistic intervention

- Sponsor's verbal misrepresentation of track record - if knowable - creates a reasonable investigation question but not necessarily a clear-cut failure

Likely Outcome

A regulator would most likely find a technical violation related to the due diligence process rather than the core suitability of the investment itself. The failure to independently verify the sponsor's prior fund performance, particularly when audited financials were accessible upon request and the verbal representations diverged from the unaudited summaries in the PPM, is the most defensible enforcement hook under FINRA Regulatory Notice 10-22's reasonable investigation standard. However, given the customer's sophistication, wealth, documented engagement, and affirmative acknowledgments, regulators would likely treat this as a process failure rather than a predatory or reckless recommendation. A likely outcome is a finding requiring enhanced supervisory procedures, potential disgorgement of commissions, and a formal written warning or minor sanction rather than a suspension or bar. The customer's undisclosed health circumstances would likely reduce the damages calculation. Under Regulation Best Interest (17 CFR § 240.15l-1), the conflict of interest from the commission structure would require scrutiny, but disclosure in the PPM and subscription documents likely provides partial mitigation. The absence of a robust broker-dealer supervisory framework - evidenced by the minimal internal checklist - may shift some regulatory focus to the firm level rather than solely to Halston individually.

Borderline Scenario 6

Topic: *illiquid_real_estate_investment* | Standard: *FINRA Rule 2111 (suitability), requiring reasonable basis, customer-specific, and o*

Fact Pattern

Marcus Delgado, 58 years old, has been a client of Hargrove Financial Partners for eleven years. Over that period, he accumulated a brokerage portfolio worth approximately \$2.1 million, consisting predominantly of large-cap equities and municipal bonds. Delgado owns his home outright, valued at roughly \$780,000, carries no mortgage, and has minimal consumer debt. He receives a pension from his former employer paying \$4,200 per month and anticipates beginning Social Security benefits at age 62, which will add approximately \$2,600 monthly. He is currently employed part-time as a consultant earning between \$60,000 and \$90,000 annually, though he has indicated that consulting work may wind down within the next two to three years as he transitions into full retirement. His stated investment objectives on file list 'growth and income' with a 'moderate' risk tolerance, and his new account form, updated eighteen months ago, notes a liquidity need classification of 'low to moderate.' He has told his advisor, Stephanie Vane, on multiple occasions over the years that he is 'not a market guy' and dislikes the volatility of his equity holdings, often expressing frustration after downturns. In conversations recorded in Vane's notes, Delgado specifically asked whether there were 'real estate type things that pay steady income and don't bounce around like stocks.' In March 2023, Vane recommended that Delgado invest \$315,000-approximately 15% of his liquid portfolio-into a non-traded real estate investment trust focused on commercial and industrial properties. The non-traded REIT had a ten-year anticipated hold period with no guaranteed redemption window during the first five years and a limited share repurchase program thereafter capped at 5% of net asset value annually. The fund projected distributions of 5.5% to 6.5% annually, though those distributions were not guaranteed and could be funded from return of capital. The offering documents disclosed that the

NAV would not be independently calculated for the first two years. Vane spent approximately ninety minutes with Delgado reviewing the offering documents, including explicit discussion of the illiquidity provisions, the distribution sustainability risk, and the fact that the investment could not be easily sold. Delgado signed an investor acknowledgment form confirming he understood the illiquidity and that the \$315,000 represented funds he did not expect to need during the hold period. Vane documented in her notes that she believed Delgado's pension and Social Security income would cover his living expenses, his consulting income provided a buffer, and the \$315,000 allocation left \$1.785 million in liquid assets. However, Vane did not conduct any independent third-party verification of the REIT sponsor's track record beyond reviewing the offering memorandum and a due diligence report prepared by Hargrove's internal product committee, which had approved the product for the firm's platform nine months earlier. The internal committee report noted that the sponsor had completed two prior similar funds, both of which were still in their hold periods and had not yet produced a full-cycle return. A third-party due diligence service used by some competing broker-dealers had flagged the sponsor's limited operating history and management fee structure-which included a 1.75% asset management fee plus performance fees-as 'above average cost' but had not issued any negative recommendation. Six months after the investment, Delgado's consulting contract was unexpectedly terminated, reducing his monthly income significantly. He did not contact Vane about a change in circumstances at that time. Fourteen months after the investment, Delgado requested a full redemption, which was denied under the fund's terms. He subsequently filed a complaint alleging the investment was inappropriate given his upcoming retirement and income needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Vane acted appropriately: At the time of the recommendation, Delgado's financial profile presented meaningful support for the investment. His \$4,200 monthly pension was already covering basic living expenses, and imminent Social Security benefits would supplement that. His liquid portfolio of \$2.1 million remained approximately \$1.785 million after the investment, providing substantial accessible assets. The 15% concentration in a single illiquid product, while meaningful, is not per se excessive under most firm or regulatory concentration guidelines. Delgado had affirmatively expressed interest in real estate income products and explicitly stated the \$315,000 was not needed during the hold period. Vane's ninety-minute review session and signed acknowledgment form suggest meaningful disclosure occurred. The product's projected income aligned with Delgado's stated desire for steady, real estate-derived cash flows less correlated to equity markets. His updated new account form classified liquidity needs as only 'low to moderate,' not high. Under FINRA Rule 2111 and Regulation Best Interest (Rule 15l-1), the recommendation must be evaluated as of the time it was made, not in hindsight. The post-recommendation loss of consulting income was an unforeseeable intervening event for which Vane bore no responsibility, particularly since Delgado did not update her on this change. Arguments that Vane may have violated applicable standards: Delgado was 58 at the time of recommendation, facing a self-described wind-down of his consulting income within two to three years, meaning a ten-year illiquid hold period extended well into his mid-to-late sixties-a period when unexpected healthcare expenses, assisted living needs, or estate planning needs commonly arise. The 'low to moderate' liquidity classification is ambiguous, and a forthcoming retirement transition arguably warranted heightened scrutiny of liquidity needs. FINRA Regulatory Notice 10-22 imposes an independent reasonable investigation duty on recommending brokers that goes beyond reliance on issuer-prepared materials and sponsor-approved internal due diligence.

Vane's investigation relied exclusively on the offering memorandum and a firm-generated committee report about a sponsor with no full-cycle track record. A third-party service had flagged cost concerns and limited operating history. The distributions were not guaranteed and could constitute return of capital, which could erode principal while appearing as income—a risk that may not have been adequately weighed against Delgado's income-oriented objectives. The NAV opacity for the first two years further obscures actual investment performance. NASAA guidance on DPP suitability has specifically cautioned that approaching-retirement customers with income dependency require careful liquidity analysis beyond stated preferences. Under Reg BI's care obligation, advisors must consider reasonably available alternatives, and it is unclear whether Vane evaluated liquid real estate exposure options such as publicly traded REITs or interval funds with more frequent redemption windows that might have better served Delgado's stated objectives with lower liquidity risk. The investigation duty question is perhaps the sharpest issue: Vane's failure to access available third-party due diligence, particularly when such services existed and had issued cautionary findings, may independently constitute a deficiency under FINRA RN 10-22 even if the recommendation itself was substantively reasonable.

Why Borderline

This scenario sits in genuine gray territory because the customer's financial profile at the time of recommendation provided real, documentable support for the investment—his income, liquid asset base, and signed acknowledgment all point toward a defensible recommendation. However, the investigation process, the proximity to retirement, the product's fee structure relative to alternatives, and the latent liquidity vulnerability create meaningful regulatory exposure. Reasonable practitioners could disagree on whether a ten-year illiquid investment was appropriate for a 58-year-old pre-retiree with mixed income signals, and regulators could disagree on whether Vane's investigation met the reasonable diligence standard given the availability of third-party red flags she did not access.

Borderline Factors

- Customer's age of 58 with a ten-year hold period extending deep into retirement years cuts both ways—not elderly but meaningfully pre-retirement
- Consulting income was described as winding down in two to three years but had not yet ceased at recommendation, creating a transitional income picture that is neither clearly stable nor clearly precarious
- Documented client acknowledgment of illiquidity and signed disclosure form supports advisor's position but does not eliminate investigation duty
- 15% portfolio concentration in illiquid asset is within ranges some firms permit but at the upper end of conservative guidance for pre-retirees
- Internal due diligence committee approval provides some institutional cover but that committee's report itself was based on an incomplete track record
- Third-party red flags about sponsor history and fees were available but not accessed—creates investigation gap without constituting a known warning sign Vane consciously ignored
- Sponsor had no full-cycle track record, a factor FINRA RN 10-22 specifically identifies as material in investigation obligations
- Post-recommendation income change was unforeseeable and not reported by client, limiting retroactive attribution of risk to Vane, yet the vulnerability existed at inception
- Liquid alternatives with partial redemption features existed and may not have been evaluated as part of the recommendation process
- Distribution sustainability risk and potential return-of-capital funding was disclosed but may not have

been adequately weighed against the client's income-generation objective

Likely Outcome

A regulator would likely find this case close but lean toward concluding a violation occurred, primarily on the investigation duty rather than the substantive suitability of the investment itself. The failure to access an available third-party due diligence service that had already flagged the sponsor's limited history and above-average fee structure, combined with exclusive reliance on issuer materials and a firm committee report, would likely be viewed as falling below the reasonable investigation standard articulated in FINRA RN 10-22. The substantive recommendation-15% in a non-traded REIT for a high-net-worth pre-retiree with strong baseline income and documented client consent-would likely not be deemed a clear suitability failure on its own. However, under Reg BI Rule 15l-1's care obligation, a regulator might also find that Vane failed to adequately consider reasonably available alternatives with superior liquidity characteristics that could have satisfied the same client objective. The likely regulatory outcome would be a finding of a deficient investigation process with a possible finding of a care obligation deficiency, but probably not a finding of outright fraudulent or willful misconduct. Any sanction would likely focus on enhanced supervision, remediation of investigation procedures, and potentially a modest fine rather than disgorgement or bar, given the documented disclosure efforts and the client's affirmative representations.

Borderline Scenario 7

Topic: alternative_investments_unsuitable | Standard: FINRA Rule 2111 (Suitability), requiring reasonable-basis and customer-speci

Fact Pattern

In March 2021, Randall Okonkwo, a 61-year-old semi-retired civil engineer living in suburban Columbus, Ohio, opened an account with Meridian Wealth Partners, a regional broker-dealer. Okonkwo had worked 34 years for a municipal water authority and retired with a defined-benefit pension paying approximately \$6,400 per month, plus Social Security of \$1,850 per month. He owned his home outright, carried no debt, and held approximately \$890,000 in a rollover IRA invested primarily in a mix of low-cost index funds. He also maintained a \$95,000 taxable brokerage account and kept roughly \$40,000 in a savings account. Okonkwo described himself to his advisor, Derek Flemming, as seeking to diversify away from what he called 'too much stock market exposure' following the COVID-19 volatility. His new account paperwork listed his investment objective as 'growth and income,' his risk tolerance as 'moderate,' and his time horizon as 'ten or more years.' He noted no near-term liquidity needs, stating that his pension and Social Security covered all monthly expenses with roughly \$1,200 to spare each month.

Flemming had known Okonkwo socially for several years before he became his client. Over two meetings in April 2021, Flemming presented Okonkwo with an opportunity to invest in a Regulation D private placement offering sponsored by Hargrove Capital Group, a real estate development firm syndicating a portfolio of light-industrial and last-mile logistics properties across the Midwest. The offering was structured as a direct participation program with a seven-year hold period, no secondary market, and distributions projected at 6.2% annually beginning in month eighteen. Minimum investment was \$50,000. The offering memorandum disclosed risks including illiquidity, dependence on a single sponsor, geographic concentration, and the possibility that distributions could be suspended or reduced.

Flemming conducted his own review of Hargrove's prior three offerings, all of which had paid projected distributions without interruption and two of which had completed full-cycle exits returning approximately 140% and 152% of invested capital respectively. He reviewed Hargrove's audited financials for the two most recent fiscal years, spoke with the fund's external auditor by telephone, and reviewed the tenant roster, which included several national logistics companies on five-to-ten-year leases. He did not independently verify Hargrove's claimed occupancy rate of 94% or obtain a third-party appraisal of the underlying properties. Meridian's due diligence file on the offering was approximately eighteen months old at the time of the sale, having been prepared when the firm first approved the product for sale in October 2019.

Flemming recommended that Okonkwo invest \$150,000 from his rollover IRA into the Hargrove offering, representing approximately 14.8% of that account and roughly 14.4% of his total investable assets excluding the savings account. Okonkwo initially expressed surprise at the size, saying he 'figured maybe \$50,000 to start.' Fleming explained that the minimum was \$50,000 but that the projected income stream would be more meaningful at \$150,000 and that a larger allocation would better achieve Okonkwo's stated goal of reducing equity market correlation. Okonkwo agreed after this conversation and signed the subscription documents. Fleming received a selling commission of 7% on the transaction, or \$10,500, which was disclosed in writing to Okonkwo at the time of subscription.

By late 2022, Hargrove disclosed to investors that two anchor tenants representing 31% of portfolio rent had not renewed leases and that distributions were being suspended indefinitely while the sponsor sought replacement tenants. Okonkwo's \$150,000 investment became effectively illiquid with no distributions and no clear exit timeline. He filed a complaint with Meridian in January 2023, stating he never would have agreed to \$150,000 if he had fully understood how illiquid the investment was and that Fleming had 'pushed' the larger amount. Fleming maintained that Okonkwo was a sophisticated investor with a stable income base, no liquidity needs, a long stated time horizon, and a genuine desire to reduce equity exposure, and that the concentration level was reasonable given those facts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Fleming acted appropriately: Okonkwo's financial profile presents genuinely favorable indicators for an illiquid alternative investment. His pension and Social Security income fully covered living expenses with surplus, he had no debt, owned his home, and explicitly stated no near-term liquidity needs with a ten-plus-year time horizon. The 14.4% allocation across total investable assets is within ranges that many practitioners and regulators would consider reasonable for an alternative investment sleeve. Hargrove's prior track record was verifiable and positive, Fleming reviewed audited financials, spoke with the auditor, and examined the tenant roster. The commission was disclosed in writing. The investment aligned with Okonkwo's stated goal of reducing stock market correlation. Under FINRA Rule 2111's reasonable-basis and customer-specific suitability framework, and under Regulation Best Interest Rule 15l-1 (specifically the Care Obligation under 15l-1(a)(2)(ii)), the customer's own articulated goals, income stability, and time horizon provide meaningful support for the recommendation. The seven-year hold was not materially inconsistent with a ten-plus-year time horizon.

Arguments that Flemming violated his obligations: The most significant concern is the upsell from \$50,000 to \$150,000 after the customer expressed an initial expectation of the lower amount. FINRA Regulatory Notice 10-22 imposes a reasonable investigation duty on broker-dealers selling private placements, including an obligation to verify key representations in the offering memorandum. Flemming did not independently verify the 94% occupancy rate, and Meridian's firm-level due diligence was eighteen months stale. Under Reg BI, the Care Obligation requires consideration of costs, and a 7% upfront commission on a seven-year illiquid product is a significant drag that required meaningful justification, particularly when the customer was being encouraged to invest at three times the minimum. The upsell creates an appearance of compensation-driven motivation given that the commission tripled from roughly \$3,500 to \$10,500 as a direct result. FINRA's guidance on non-traded REITs and DPPs emphasizes that illiquidity risk must be communicated in a manner that the customer genuinely understands, and Okonkwo's post-loss statement that he didn't fully understand the illiquidity suggests the disclosure may have been inadequate in practice even if technically made in writing. Additionally, placing 14.8% of a retirement account in a single illiquid, single-sponsor DPP raises concentration concerns, particularly for a 61-year-old where even a ten-year horizon ends at age 71, a period where liquidity needs often increase unexpectedly. NASAA guidance on DPP suitability has specifically cautioned against concentrations in illiquid instruments for pre-retirees.

The stale due diligence file is independently problematic. Regulatory Notice 10-22 makes clear that the reasonable investigation duty is ongoing, not a one-time approval event, and an eighteen-month-old due diligence package used to support a 2021 sale arguably does not satisfy that standard, particularly given that commercial real estate conditions changed substantially during the COVID-19 pandemic.

Why Borderline

This scenario is genuinely borderline because Okonkwo presents an unusually favorable liquidity profile for a 61-year-old, with guaranteed income covering all expenses and no debt, which legitimately reduces the practical illiquidity risk that would make this investment presumptively unsuitable. At the same time, the upsell from the customer's initially expected \$50,000 to \$150,000, combined with a tripling of Flemming's compensation and a stale due diligence file, introduces enough procedural and motivational irregularity that regulators could plausibly find a violation without concluding the investment itself was categorically inappropriate. The tension between a facially reasonable customer profile and a process that has multiple red flags creates genuine disagreement among reasonable practitioners.

Borderline Factors

- Customer's pension and Social Security income created genuine liquidity insulation, making illiquidity risk materially lower than for a typical pre-retiree with the same age
- 14.4% concentration in a single illiquid DPP is on the high end of defensible but not clearly outside industry norms for customers with stable guaranteed income
- Upsell from customer's expected \$50,000 to \$150,000 tripled the advisor's commission and creates a compensation-motivation inference that cuts strongly against the advisor
- Meridian's due diligence file was 18 months old and prepared before COVID-19 changed commercial real estate materially, raising questions about adequacy of reasonable investigation
- Advisor did not independently verify the 94% occupancy rate, which was a material fact that later proved fragile given the anchor tenant non-renewals
- Customer's post-loss statement that he didn't fully understand illiquidity suggests possible gap between written disclosure and actual comprehension, but written disclosure was made

- 7% upfront commission on a 7-year illiquid product requires meaningful cost justification under Reg BI's Care Obligation, which Flemming's notes do not clearly address
- Customer's time horizon ends at age 68-71, a period where unexpected liquidity needs statistically increase, which is arguably underweighted in the suitability analysis
- Hargrove's prior track record was positive and verifiable, providing legitimate substantive support for the recommendation independent of process concerns
- Customer explicitly stated diversification away from equity markets as his goal, which this investment genuinely achieved in structure if not in ultimate outcome

Likely Outcome

A regulator would most likely find a technical violation primarily on two grounds: the inadequacy of the due diligence process given the stale firm-level investigation file and the failure to verify a material representation (occupancy rate), and the upsell dynamic that increased the advisor's compensation threefold with documentation insufficient to demonstrate the larger amount was independently in the customer's best interest rather than driven by commission motivation. However, the regulator would likely treat this as a process and disclosure failure rather than a clear-cut unsuitable recommendation, resulting in a moderate sanction such as a fine and heightened supervision requirement rather than a suspension, given that the customer's underlying financial profile was genuinely supportive of some level of investment in this type of product. The case would be significantly stronger for the defense if the due diligence had been current and if Flemming had documented a customer-initiated request for the larger amount.

Borderline Scenario 8

Topic: *alternative_investments_unsuitable* | Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest, Rule 15l-1 under

Fact Pattern

Marcus Delacroix, 61 years old, is a retired civil engineer living in suburban Atlanta. He has a \$1.4 million brokerage account with Pinnacle Wealth Advisors, a net worth of approximately \$2.1 million including his primary residence, and receives \$4,200 per month in pension income. His account application lists his investment objective as 'growth with moderate risk tolerance' and his time horizon as 'long-term (10+ years).' He has no immediate liquidity needs documented in his file, though he has mentioned casually to his advisor, Trevor Winslow, that he may want to help pay for his daughter's wedding 'in a year or two' and 'possibly' purchase a vacation property within five years. These conversations were not formally documented. Delacroix has a prior investment history that includes two previous limited partnership investments from the 1990s, both of which he held to completion without complaint, and he self-reported familiarity with alternative investments on his new account form. His account held diversified equities and municipal bonds before the transaction at issue. In March 2021, Winslow recommended that Delacroix invest \$280,000-representing approximately 20% of his liquid investable assets-into a non-traded real estate investment trust focused on commercial office and mixed-use properties in the Sun Belt. The product paid an upfront commission of 7% to Winslow's broker-dealer and carried a stated holding period of five to seven years with no secondary market. The offering documents disclosed risks including illiquidity, potential for distribution cuts, and concentration in commercial office real estate. Winslow presented Delacroix with a product summary, discussed the illiquidity risk verbally, and noted that the Sun Belt commercial real estate market was projected to benefit from ongoing corporate relocations. Delacroix signed all required disclosure

forms and initialed the illiquidity acknowledgment page. Winslow's written rationale documented in the file cited Delacroix's long-term horizon, prior LP experience, high net worth, stable pension income, and the portfolio diversification benefit of adding a real estate income component. The 20% allocation was within Pinnacle's internal guideline of 25% maximum for alternative investments for clients in Delacroix's profile tier. Eighteen months after the investment, the non-traded REIT suspended distributions and disclosed significant vacancies in its office portfolio due to remote work trends, and the estimated per-share value was revised downward by 34%. Delacroix filed a complaint stating he did not fully understand the illiquidity risk and that he had intended the funds to be available for the vacation property purchase. He acknowledged in the complaint that he signed the disclosures but said he felt 'rushed' during the meeting.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Winslow violated applicable standards: The core tension is the 20% concentration in a single illiquid, high-commission alternative investment for a 61-year-old retiree with undocumented but plausible near-term liquidity needs. Under FINRA Rule 2111 and Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), a broker must perform a reasonable basis suitability analysis and a customer-specific suitability analysis. FINRA Regulatory Notice 10-22 specifically warns that the duty to conduct a reasonable investigation of DPPs and non-traded REITs is heightened given their complexity and illiquidity. Regulators and NASAA have repeatedly flagged that verbal mentions of upcoming expenses—even if not formally documented—are material customer-specific facts that advisors must account for. The 7% upfront commission creates a significant conflict of interest that Reg BI's care obligation requires the advisor to address by ensuring the recommendation is nonetheless in the client's best interest, not merely suitable in a technical sense. Post-GPB Capital enforcement actions have made clear that regulators scrutinize whether advisors performed genuine due diligence on the underlying investment rather than relying solely on offering documents. The 34% valuation decline and distribution suspension, while not themselves evidence of a prior violation, suggest the product carried risks that may not have been adequately investigated by Winslow. The 'rushed' signing process, if corroborated, could support a finding that the disclosure process was procedurally deficient. Furthermore, a 61-year-old retiree in the distribution phase of wealth management presents different liquidity risk considerations than a 40-year-old accumulator, even with a long-stated time horizon. Arguments that Winslow complied with applicable standards: The documentary record is relatively strong. Delacroix had a \$2.1 million net worth, stable pension income, and liquid assets of \$1.4 million, of which \$1.12 million remained liquid after the investment. The 20% allocation was within the firm's own guideline for this client tier. Delacroix self-reported prior LP experience and familiarity with alternatives, which is a material customer-specific factor that can support suitability. He signed and initialed specific illiquidity disclosures, and Winslow's written rationale—citing long-term horizon, diversification, income, and the client's LP history—reflects at least a facially reasonable analysis. The 'vacation property' and 'wedding' comments were speculative and conditional ('possibly,' 'in a year or two'), not firm financial commitments, and Delacroix had ample remaining liquidity to fund those expenses from other assets. Courts and arbitration panels have generally held that where a client signs clear disclosures, has sophisticated investment experience, and retains substantial liquidity outside the investment, the advisor's obligation is substantially satisfied. The portfolio diversification rationale for adding real estate exposure to an equity-and-bond portfolio has genuine merit. The subsequent decline in value is attributable to macro remote-work trends that were not fully foreseeable.

in March 2021.

Why Borderline

This scenario is genuinely borderline because the advisor had a plausible, documented rationale and the client had real alternative investment experience and signed detailed disclosures, yet the undocumented liquidity conversations, the high commission creating a conflict, the client's retiree status, and the concentration in a five-to-seven year lockup product create legitimate grounds for a suitability challenge. Reasonable practitioners could disagree on whether the casual liquidity comments rose to the level of a material customer fact requiring formal accounting, and whether a 20% non-traded REIT allocation for a 61-year-old retiree crosses the line from aggressive but defensible to genuinely unsuitable.

Borderline Factors

- Undocumented but verbally expressed near-term liquidity needs (wedding, vacation property) that were conditional and speculative rather than firm
- 20% concentration in a single illiquid vehicle is aggressive but within the firm's own 25% guideline
- 61-year-old retiree status cuts against illiquid long-horizon products, but client's stated time horizon was 10+ years and pension income covers living expenses
- Client had prior limited partnership experience and self-reported alternative investment familiarity
- High 7% upfront commission creates a conflict of interest that Reg BI requires to be overcome by demonstrating client best interest
- Signed illiquidity acknowledgment and all required disclosures exist in the file
- Written advisor rationale is facially reasonable but may not reflect genuine independent due diligence on commercial office sector risks
- Sufficient remaining liquid assets (\$1.12 million) to cover the informally mentioned expenses without touching the REIT investment
- Post-investment value decline was driven by macro remote-work trends partially foreseeable as of March 2021
- Client's 'felt rushed' complaint is uncorroborated and contradicted by the signed disclosure record

Likely Outcome

A regulator would most likely find this case presents a close call but would lean toward a finding of a violation, principally on two grounds: (1) the failure to document and formally account for the client's expressed near-term liquidity needs before recommending a five-to-seven year lockup product, and (2) insufficient documented evidence that Winslow conducted a reasonable independent investigation of the non-traded REIT's commercial office concentration risk beyond reliance on the offering documents, particularly given the known remote-work trends by March 2021. The high commission would be treated as a conflict requiring heightened justification under Reg BI. However, a FINRA arbitration panel-as opposed to a regulatory enforcement action-would be more likely to find for the advisor given the signed disclosures, the client's investment experience, and the remaining liquidity. The most probable regulatory outcome is a supervisory finding against Pinnacle for failing to maintain adequate procedures for documenting client liquidity conversations, rather than a direct finding of individual advisor misconduct, combined with a requirement for remediation to Delacroix.

Borderline Scenario 9

Fact Pattern

In March 2021, Marcus Tillman, a 58-year-old regional sales manager at a manufacturing company, met with his financial advisor, Derek Osei, at a mid-sized independent broker-dealer in suburban Ohio. Tillman had a stated net worth of approximately \$620,000, excluding his primary residence valued at \$340,000, and liquid assets of roughly \$285,000 held in a mix of mutual funds and a rollover IRA. His annual household income was \$138,000. Tillman had described his investment objective on his new account form as 'growth with moderate risk tolerance' and indicated a 7-to-10-year time horizon before anticipated retirement. He had no prior experience with private placements or non-traded real estate investment trusts.

Osei recommended that Tillman invest \$75,000 - approximately 26% of his liquid net worth - in a non-traded REIT focused on medical office buildings and outpatient surgery centers. The offering was structured as a Regulation D private placement open only to accredited investors. Tillman qualified as accredited based on his income and net worth. The non-traded REIT carried an upfront load of 7%, ongoing annual management fees of 1.5%, and a projected distribution yield of 5.8% annually. The investment was explicitly described in offering documents as illiquid for a minimum of five to seven years, with no guarantee of a redemption program.

Osei had reviewed a third-party due diligence report prepared by his broker-dealer's home office that rated the non-traded REIT as 'approved for sale' with a notation that it was 'suitable for income-oriented investors with a long-term horizon and low liquidity needs.' The report flagged that the REIT's sponsor had one prior fund that had suspended distributions for eight months during 2018 before resuming, citing temporary lease rollover issues at two anchor properties. The suspension had since been resolved and full distributions resumed eighteen months before the current offering launched.

During their conversations, Tillman told Osei that he expected his daughter's college tuition costs to be fully paid off by 2023 and that he did not anticipate needing the \$75,000 for at least eight years. He also mentioned, in passing, that his wife had recently been diagnosed with Type 2 diabetes and was managing it with oral medication, though there was no indication of imminent significant medical expenses. Tillman signed the subscription documents and an investor questionnaire confirming his accredited status, his understanding of the illiquid nature of the investment, and his acknowledgment of the risk factors.

Twenty-two months later, in January 2023, Tillman's employer announced a significant workforce reduction. Tillman was laid off in February 2023 and found himself without income for seven months before securing a new position at a lower salary of \$98,000. During this period, he sought to redeem his non-traded REIT investment and was informed that the REIT's limited redemption program had been temporarily suspended due to elevated redemption requests across the fund, a situation driven partly by rising interest rates compressing commercial real estate valuations. Tillman filed a complaint with his state securities regulator, alleging that the investment had been inappropriate given his circumstances and that he had not been adequately informed of the realistic illiquidity risks.

Osei maintains that Tillman's stated eight-year horizon, confirmed accredited investor status, written acknowledgments, and the home office's approval of the product for sale collectively supported the

recommendation. Osei also notes that Tillman's concentration in the non-traded REIT, while significant, represented roughly one-quarter of liquid assets rather than a majority, and that Tillman had an additional \$210,000 in other liquid accounts that remained accessible. The broker-dealer's supervisory principal had approved the transaction at the time of sale after reviewing Tillman's account profile. Critics of the recommendation point to the sponsor's prior distribution suspension, the known fee drag from a 7% load, Tillman's wife's newly diagnosed health condition introducing potential unplanned expenses, and the fact that Tillman was a W-2 employee with no diversified income streams, making his liquidity situation more fragile than his stated net worth suggested.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: Under FINRA Rule 2111 and the SEC's Regulation Best Interest (Rule 15l-1), a recommendation must be in the customer's best interest based on a reasonable understanding of the customer's financial situation, including not just stated preferences but reasonably foreseeable liquidity needs. The 26% concentration in a single illiquid alternative investment is substantial for a customer whose primary income source was a single employer. While Tillman's stated time horizon was eight years, the advisor had access to a material risk signal - the spouse's recent diabetes diagnosis - that, when combined with Tillman's status as a single-income W-2 household, introduced meaningful fragility into his liquidity profile. FINRA Regulatory Notice 10-22 places an affirmative duty on advisors to conduct a reasonable investigation of both the product and the specific customer's suitability, and critics would argue that the prior distribution suspension at the sponsor's earlier fund warranted deeper scrutiny and more prominent disclosure to Tillman, not merely reliance on a home office 'approved for sale' rating. The 7% upfront load further erodes long-term value and must be weighed against whether a similarly structured but lower-cost product could have met Tillman's objectives. Reg BI's 'care obligation' under Rule 15l-1(a)(2)(ii) requires consideration of costs and reasonably available alternatives, and the advisor's record does not clearly document that lower-fee alternatives were evaluated.

Arguments against a violation: Tillman was a verified accredited investor, signed detailed risk acknowledgment documents, and provided a written confirmation of his eight-year time horizon. The \$75,000 investment represented only 26% of liquid assets, leaving \$210,000 in accessible accounts - a cushion that, at the time of sale, appeared sufficient to absorb ordinary liquidity shocks including medical expenses. The broker-dealer's supervisory review and third-party due diligence report supported the transaction. The sponsor's prior distribution suspension was disclosed and had been remedied nearly two years before the new offering, which is a materially different risk profile than an ongoing or unresolved problem. Osei cannot reasonably be held responsible for an unforeseeable macroeconomic event - rising interest rates triggering commercial real estate valuation stress and widespread REIT redemption suspensions - that occurred nearly two years after the recommendation. The NASAA model rule on DPP suitability acknowledges that concentration analysis must be conducted at the time of recommendation, not in hindsight. Tillman's layoff, while unfortunate, was not a known or reasonably foreseeable risk signal available to Osei at the time of sale.

Why Borderline

This scenario sits in a genuine gray zone because the advisor had real, documented positive indicators

supporting the recommendation - accredited investor status, written time horizon confirmation, home office approval, meaningful remaining liquidity - while simultaneously having access to softer but material risk signals, particularly the spouse's health diagnosis and the single-employer income concentration, that a more conservative analysis might have weighted more heavily. The outcome (the investor suffering real harm from illiquidity) was driven substantially by an external macroeconomic shock rather than an inherent product defect foreseeable at sale. Reasonable regulators could split on whether the 26% concentration crossed the line, whether the prior distribution suspension required more affirmative action, and whether the health disclosure triggered a duty to revise the liquidity analysis.

Borderline Factors

- 26% liquid net worth concentration is material but falls below common bright-line thresholds that regulators treat as presumptively excessive
- Investor signed detailed risk acknowledgments and confirmed his own time horizon in writing, creating genuine shared responsibility
- Prior distribution suspension at sponsor's earlier fund was disclosed in due diligence materials but had been resolved before the current offering launched
- Spouse's diabetes diagnosis was mentioned in passing without any indication of anticipated significant medical costs, making it ambiguous whether it constituted a material liquidity risk signal
- Harm was substantially caused by a macroeconomic interest rate shock rather than a product defect or misrepresentation that was evident or foreseeable at time of sale
- Home office supervisory approval and third-party due diligence rating provide at least partial basis for good-faith reliance, though not a complete shield
- Remaining liquid assets of \$210,000 were substantial relative to typical emergency fund needs, weakening the liquidity fragility argument
- 7% upfront load is high but within the range historically accepted for non-traded REITs, and comparable products with lower fees were not documented as having been evaluated or rejected
- W-2 single-employer income concentration is a legitimate fragility factor but not one that per se makes non-traded REIT recommendations unsuitable for all middle-income workers

Likely Outcome

A regulator would most likely find that the recommendation fell in a zone of heightened scrutiny but would not necessarily result in a formal disciplinary finding of violation without additional evidence of inadequate disclosure or documented failure to consider alternatives. The most probable outcome is a regulatory inquiry resulting in a request for enhanced documentation, possible restitution negotiation, or a failure-to-supervise finding directed at the broker-dealer rather than Osei individually, given that the home office approval process apparently did not include a structured liquidity stress analysis for single-income households with newly disclosed dependent health conditions. If the regulator determined that Osei had a specific duty under Reg BI's care obligation to document why no lower-cost alternative was considered, a disclosure-based or cost-suitability violation finding becomes more likely. The prior sponsor distribution suspension, while resolved, would likely be cited as a factor the advisor should have discussed more explicitly with Tillman rather than relying solely on the home office approval flag.

Borderline Scenario 10

Fact Pattern

Margaret Holloway, a 58-year-old semi-retired dental hygienist from suburban Ohio, met with her financial advisor, Dennis Carver, in March 2021. Margaret had recently received a \$310,000 inheritance from her mother's estate and was looking to deploy the capital in income-generating investments ahead of her planned full retirement at age 65. Her brokerage account held approximately \$490,000 in a diversified mix of mutual funds and municipal bonds, and she owned her home outright, valued at roughly \$380,000. She had no outstanding debt. Her stated annual living expenses ran about \$68,000, of which her part-time work covered approximately \$34,000, meaning she needed roughly \$34,000 per year from her investment portfolio to cover the gap until Social Security and a small pension kicked in at age 65. Dennis noted in his client file that Margaret described herself as wanting 'steady income' and rated herself a 5 out of 10 on a risk tolerance questionnaire, placing her in a 'moderate' category. She told Dennis she did not anticipate needing the inheritance money for at least seven years and specifically said, 'I want this chunk to work harder than my bond funds.' Dennis recommended that Margaret invest \$90,000 of the inheritance - roughly 11% of her total investable assets including the inheritance - into a non-traded real estate investment trust focused on commercial office and mixed-use properties in Sun Belt markets. The non-traded REIT had a projected distribution yield of 5.8% annually, carried an upfront load of 7%, and had a stated investment horizon of seven to ten years with no secondary market for shares. The sponsor had a twelve-year operating history with two prior programs that had both ultimately liquidated and returned capital plus modest appreciation to investors, though neither had been tested through a severe commercial real estate downturn. At the time of the recommendation, early 2021, commercial office vacancy rates were rising nationally due to remote work trends, a fact covered in mainstream financial press. Dennis had reviewed the offering documents, attended a two-hour sponsor-sponsored due diligence webinar, and reviewed a third-party research report on the sponsor that rated the offering 'acceptable with noted risks.' He did not independently contact prior investors, did not review audited financials beyond what was in the offering circular, and did not consult his firm's approved product list because the product had been approved by a regional broker-dealer the firm had a clearing relationship with, which Dennis interpreted - possibly incorrectly - as constituting his own firm's approval. The 7% load was disclosed in writing and Margaret signed the subscription agreement acknowledging illiquidity and load. Six months after purchase, the REIT suspended its distribution payments citing office market headwinds, and by late 2022 the sponsor disclosed that net asset value per share had declined approximately 23%. Margaret, now needing to cover an unexpected \$18,000 home repair expense, found she could not access the funds and had to liquidate mutual funds from her other account at a modest loss during a down market. Margaret filed a complaint alleging the investment was inappropriate given her income needs and the foreseeable risks in commercial office real estate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dennis violated applicable standards: The core concern is whether Dennis conducted a reasonable investigation into the non-traded REIT independent of the sponsor's own materials. Under FINRA Regulatory Notice 10-22, broker-dealers and their registered representatives have an independent duty to investigate DPP offerings and cannot simply rely on sponsor-prepared materials or a third-party

approval from a clearing firm. Dennis's due diligence consisted of a sponsor-hosted webinar, a single third-party report, and a review of the offering circular - he did not independently audit financials, contact prior investors, or verify the clearing firm approval constituted his own firm's product approval. This gap is potentially significant. Additionally, the 7% upfront load immediately reduced Margaret's \$90,000 investment to an effective \$83,700, meaning the stated 5.8% yield was already partially eroded in year one. At the time of recommendation, the commercial office real estate sector was visibly stressed due to remote work trends, and a reasonably diligent advisor could have weighted this sector-specific risk more heavily given the product's seven-to-ten-year illiquid horizon. Margaret's liquidity situation, while not dire on paper, was more nuanced than it appeared: she had an annual \$34,000 income gap and, as events showed, faced foreseeable home repair and other expenses without liquid reserves tied specifically to this capital pool. Concentrating \$90,000 in a single illiquid product with no exit mechanism during a period of known sectoral stress, without a deeper liquidity stress test, raises questions about the depth of the customer-specific analysis. Arguments that Dennis did not violate applicable standards: The allocation of \$90,000 represented only approximately 11% of Margaret's total investable assets of roughly \$800,000 (\$490,000 existing plus \$310,000 inheritance), a concentration level that is generally considered modest and within ranges commonly seen in compliant DPP recommendations for moderate-risk investors. Margaret explicitly stated she did not need this money for seven years and affirmatively sought higher-yielding alternatives to bond funds, language that supports the advisor's understanding of her investment objectives. The product's seven-to-ten-year horizon aligned with her stated timeline. Dennis did perform some level of due diligence - he reviewed offering documents, attended a webinar, and consulted a third-party report - and the product had been through some form of third-party review. The sponsor had a twelve-year track record with two completed programs that returned capital. Margaret signed subscription documents with full illiquidity and load disclosure. The distribution suspension and NAV decline were driven by macro real estate market conditions that, while visible in trend, were not certainties at time of sale. Regulators and arbitrators have generally not held advisors responsible for market-driven downturns absent evidence of misrepresentation or a fundamentally unsuitable initial recommendation. The liquidity shortfall Margaret experienced arose from a home repair expense - an arguably foreseeable but not specifically predicted event - and she had ample liquid assets in her other account to cover it, suggesting the overall financial plan was not structurally broken even if inconvenient.

Why Borderline

This scenario is genuinely ambiguous because the allocation percentage is modest, the client's stated timeline matched the product's horizon, and the client affirmatively sought higher yield, yet the due diligence process appears thin relative to regulatory expectations for DPPs, the sector-specific risk was publicly visible at time of sale, and the client's true liquidity cushion was thinner than a simple asset-to-investment ratio suggests. Reasonable regulators could reach opposite conclusions depending on how much weight they give to client-stated preferences versus advisor independent investigation duty, and how strictly they interpret the commercial reasonableness of the due diligence conducted.

Borderline Factors

- Allocation was only approximately 11% of total investable assets, a generally acceptable concentration level for DPPs under NASAA guidance
- Client explicitly stated a seven-year time horizon and desire for higher income, directly matching the product's stated profile
- Due diligence was conducted but relied heavily on sponsor-generated materials and a possibly

inapplicable third-party approval, raising questions under FINRA RN 10-22 independent investigation standards

- Commercial office real estate headwinds were publicly known at time of recommendation but outcome was not certain

- 7% upfront load was disclosed in writing and acknowledged by client, weakening misrepresentation claims but raising cost-appropriateness questions

- Client's annual income gap of \$34,000 created a real liquidity dependency on other assets, but she had sufficient liquid assets in separate accounts to cover it

- The liquidity event that caused harm - a home repair expense - was foreseeable in general but not specifically predicted or discussed in suitability analysis

- Sponsor had a twelve-year operating history but prior programs had not been tested through a commercial real estate downturn of this nature

- Unclear whether the clearing firm approval constituted Dennis's own firm's product approval, creating an ambiguous due diligence chain of responsibility

Likely Outcome

A regulator or arbitration panel would most likely find that Dennis's conduct falls into a gray zone but would probably issue a deficiency finding or modest sanction rather than a major enforcement action. The clearest vulnerability is the inadequate independent due diligence - specifically the failure to verify that a clearing firm approval satisfied his own firm's product vetting requirements and the absence of any independent financial review beyond sponsor materials - which conflicts with established expectations for DPP recommendations. The sector-specific risk visibility at time of recommendation would likely be cited as an aggravating factor. However, the 11% allocation, the aligned time horizon, the client's stated preferences, and the full written disclosure of illiquidity and load would substantially mitigate any finding. A panel would likely award partial damages or require remediation rather than full rescission, with the loss allocated between advisor failure and market risk. If the firm approval chain issue is confirmed as a genuine gap - meaning Dennis recommended an unapproved product - the outcome would shift significantly toward a finding of violation and more substantial liability.

Borderline Scenario 11

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability)* - requires reasonable basis suitability, customer-specific

Fact Pattern

Marcus Delgado, a 58-year-old commercial real estate attorney with 30 years of experience drafting partnership agreements and lease structures for institutional clients, opened an account in early 2021 with Halloran-Pierce Financial Group. During the onboarding process, Delgado completed a new account form indicating annual income of approximately \$310,000, a net worth of \$2.1 million excluding his primary residence, and a liquid net worth of approximately \$680,000. He checked boxes indicating 'moderate' risk tolerance and a 10-year investment horizon. In the notes section of the form, he wrote by hand: 'Primarily focused on capital preservation and income generation. Retirement is approximately 7-8 years away.' His assigned advisor, Trevor Ashworth, met with Delgado three times over the following six weeks. During those meetings, Delgado repeatedly described himself as deeply familiar with commercial real estate structures, mentioned that he had personally invested in two private real estate deals in the prior decade -

one of which had gone to zero - and said he understood 'how these things can blow up.' Delgado also told Ashworth that he had approximately \$200,000 sitting in a money market account that he was 'frustrated with' and wanted to put to work in something with real upside, specifically mentioning that he was open to locking up funds for five to seven years if the return profile justified it. Ashworth, relying primarily on these verbal statements and on Delgado's professional background in commercial real estate law, recommended that Delgado invest \$175,000 - representing approximately 25.7% of his liquid net worth - into a non-traded REIT sponsored by a regional real estate firm, Crestwood Capital Partners. The Crestwood offering was structured as a Regulation D private placement targeting accredited investors, with a projected seven-year hold period, no secondary market, quarterly distributions that could be suspended at the sponsor's discretion, and a front-end load of 7%. Ashworth conducted a review of the Crestwood offering memorandum and spoke with a Crestwood representative for approximately 90 minutes but did not independently verify financial projections, review audited financials for the underlying properties, or consult third-party research on the sponsor's prior fund performance. Ashworth did note internally that two of Crestwood's three prior funds had delivered distributions within 80-95% of their projected targets. Delgado signed a detailed subscription agreement including a 12-page risk disclosure and initialed each page. He did not indicate any near-term liquidity needs. Eighteen months after the investment, Crestwood suspended distributions citing rising interest rates and property value declines, and informed investors that the hold period might extend to 10-12 years. Delgado, now 60 and expressing concern about retirement timing, filed a complaint alleging that Ashworth had not adequately understood his financial situation, had over-concentrated his liquid assets in an illiquid vehicle, and had relied too heavily on Delgado's professional background as a proxy for investment sophistication without independently confirming his actual risk capacity. Halloran-Pierce contends that Delgado was a credentialed real estate professional who explicitly requested illiquid private real estate exposure, had sufficient net worth to absorb the loss, and signed comprehensive disclosures. Delgado's attorneys argue that the new account form clearly stated capital preservation as a priority, that Ashworth's due diligence on Crestwood was superficial, and that 25.7% concentration in a single illiquid non-traded REIT was excessive regardless of Delgado's professional background.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a finding of violation: First, the new account form - the foundational document for customer knowledge - explicitly indicated moderate risk tolerance and a capital preservation objective, and noted retirement within 7-8 years. These documented profile elements conflict materially with a 25.7% concentration in a non-traded REIT with a seven-year base hold period that could extend further. Under FINRA Rule 2111 and the care obligation under Reg BI (Rule 15l-1), the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile, and documented profile elements cannot simply be overridden by verbal conversation without corresponding updates to the account record. FINRA Regulatory Notice 10-22 specifically warns that advisors conducting due diligence on private placements must do more than review offering documents and speak briefly with sponsors - the notice requires reasonable investigation into the issuer's financial condition, management background, and the offering's terms, none of which Ashworth performed with rigor. The failure to review audited financials or independent sponsor performance data is particularly notable given that non-traded REITs have been a persistent enforcement focus, with regulators in multiple actions

concluding that advisors cannot substitute marketing materials for genuine diligence. Second, concentration of 25.7% of liquid net worth in a single illiquid instrument raises serious concerns about customer-specific suitability. NASAA guidance on DPP suitability has repeatedly flagged concentration above 10-15% of liquid net worth in a single non-traded REIT as presumptively problematic, particularly for investors approaching retirement. Third, relying on Delgado's professional background as a commercial real estate attorney as a proxy for investment risk capacity conflates legal sophistication with financial risk tolerance and liquidity needs - two distinct dimensions of the customer profile. Arguments against a finding of violation: Delgado was unambiguously an accredited investor under Regulation D by both income and net worth thresholds, clearing the minimum eligibility threshold for the offering. More significantly, Delgado was a 30-year commercial real estate attorney who by his own admission had prior experience with private real estate investments including one that had gone to zero - meaning he had actual, not just theoretical, experience with investment loss in this specific asset class. His verbal statements to Ashworth were detailed and specific: he identified the \$200,000 pool as funds he wanted to put to work in illiquid structures, he stated a willingness to lock up capital for five to seven years, and he demonstrated awareness of downside risk. The subscription agreement included 12 pages of risk disclosures that he initialed individually, including disclosures about distribution suspension risk and extended hold periods. The 90-minute conversation with the Crestwood representative and review of the offering memorandum, while not exhaustive, is not trivially deficient - the advisor did note prior fund performance data, even if informally. The prior Crestwood funds had reasonable performance records. Furthermore, the \$175,000 investment left \$505,000 in other liquid assets, giving Delgado meaningful liquidity reserves. The new account form's 'moderate' risk and 'capital preservation' boxes may reflect a default checkbox response rather than a carefully negotiated investment mandate, particularly given that a sophisticated attorney's subsequent, detailed verbal communications contradicted those selections. Some regulators and arbitrators have given weight to sophisticated customers' verbal instructions when those instructions are specific and informed.

Why Borderline

This scenario is genuinely ambiguous because it pits a formally documented customer profile indicating capital preservation and moderate risk against detailed, informed verbal instructions from a commercially sophisticated customer explicitly requesting illiquid real estate exposure - with the customer's own professional expertise in the very asset class recommended. The advisor's due diligence was imperfect but not nonexistent, the prior fund performance was modestly supportive, and the customer signed detailed disclosures. The concentration figure of 25.7% exceeds common regulatory guidance thresholds but is not so extreme as to be indefensible, particularly given the customer's remaining liquid reserves. Reasonable practitioners and regulators could disagree about whether the advisor's reliance on Delgado's professional background and verbal instructions was a reasonable exercise of judgment or an impermissible shortcut that substituted professional status for genuine financial profile assessment.

Borderline Factors

- Customer's documented profile indicated capital preservation and moderate risk tolerance, but verbal instructions to the advisor specifically requested illiquid private real estate with multi-year lockup
- Customer was a 30-year commercial real estate attorney with prior private placement experience including a complete loss - cutting both toward and against the advisor's reliance on his sophistication
- Concentration of 25.7% of liquid net worth in a single non-traded REIT exceeds common regulatory guidance thresholds but is not extreme given remaining liquid reserves of \$505,000
- Advisor's due diligence reviewed the offering memorandum and spoke with the sponsor but did not

obtain audited financials or independent sponsor performance verification - imperfect but not entirely absent

- Customer initialed 12 pages of risk disclosures specifically including distribution suspension and extended hold period risks

- Retirement horizon of 7-8 years at investment date aligns awkwardly with a 7-year base hold that subsequently extended - the extension was caused by market conditions arguably foreseeable but not certain

- New account form categories (moderate risk, capital preservation) may represent default checkbox responses later contradicted by specific, informed verbal instructions from a sophisticated customer

- Prior Crestwood fund performance was modestly positive (80-95% of projected distributions), providing some reasonable basis for the recommendation

- Advisor did not update the new account form to reflect Delgado's verbal statements about illiquid real estate appetite, creating a documentary inconsistency that cuts against the firm

Likely Outcome

A regulator would most likely find a technical violation but characterize it as a supervision and documentation failure rather than a straightforward suitability violation, with mitigated sanctions. The core problem regulators would focus on is the failure to update the customer's account record to reflect his stated investment objectives - the documentary contradiction between the capital preservation checkbox and the \$175,000 illiquid REIT recommendation is precisely the gap that invites enforcement. Additionally, the adequacy of due diligence under FINRA Regulatory Notice 10-22 would likely be found deficient given the absence of audited financial review and independent sponsor diligence. However, given Delgado's professional sophistication, prior investment experience including loss, explicit verbal instructions, and signed disclosures, the regulator would likely decline to order full rescission and instead impose a fine on the firm for supervision deficiencies and require remediation of account documentation procedures. An arbitration panel could go either way - panels have historically been skeptical of sophisticated customers who claim ignorance of risks they signed disclosures acknowledging, but the concentration concern and documentation failures give Delgado colorable claims.

Borderline Scenario 12

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - customer-specific suitability obligation requiring that a r

Fact Pattern

In March 2021, financial advisor Derek Holloway at a regional broker-dealer recommended that his client, Margaret Solis, a 61-year-old retired school principal from suburban Ohio, invest \$85,000 into a non-traded real estate investment trust focused on industrial and logistics properties. Margaret had a stated net worth of approximately \$720,000, excluding her primary residence, and liquid assets of roughly \$310,000, including a \$180,000 IRA rollover she had completed eighteen months earlier. Her new account form indicated a 'moderate' risk tolerance and a stated investment objective of 'income and growth.' She had a pension of \$3,400 per month from the school district and no outstanding mortgage. Derek had known Margaret for six years and described her as a reliable, engaged client who had previously invested \$40,000 in a separate non-traded REIT in 2017, which was still locked up with no redemption pathway visible within the next two years. That earlier investment had not generated meaningful distributions.

When Derek recommended the new non-traded REIT, he completed a client suitability profile update in January 2021. The update reflected Margaret's pension income, her moderate risk tolerance, and her stated interest in 'real estate exposure for portfolio diversification.' The update did not specifically ask about or document Margaret's anticipated liquidity needs for the next five to seven years, nor did it reflect that she intended to help fund a portion of her daughter's graduate school tuition - approximately \$30,000 - beginning in the fall of 2022. Derek was aware of the daughter's graduate school plans through a casual conversation in late 2020 but did not document this or incorporate it into his written analysis. He later stated he believed Margaret would fund the tuition from her monthly pension and a separate savings account he was not managing.

The \$85,000 investment represented approximately 27% of Margaret's total liquid assets and, combined with her existing locked-up non-traded REIT position, brought her total illiquid alternative investment exposure to roughly \$125,000, or about 40% of liquid assets. The new non-traded REIT had a minimum seven-year hold period with quarterly redemption windows capped at 2% of net asset value, meaning full liquidity was not practically guaranteed even at the seven-year mark. The product paid a 5.5% annualized distribution, which was consistent with its peers in the industrial logistics REIT space, and its fee structure - a 5.5% upfront commission plus 0.5% annual dealer manager fee - was disclosed in the prospectus Margaret received and signed. The product's underlying assets were stabilized, investment-grade tenanted warehouses with long-term leases, making the credit risk profile relatively conservative.

Derek's written recommendation memo cited Margaret's real estate interest, her pension income as a stable liquidity backstop, her previous experience with non-traded REITs, and the product's conservative asset base. He did not independently verify the liquidity of her savings account or confirm the exact tuition funding plan. The broker-dealer's supervisory principal reviewed and approved the recommendation within two business days, noting the concentration was 'elevated but within firm guidelines of 35% alternative exposure based on liquid net worth' - though the calculation used appeared to exclude the prior non-traded REIT from the concentration tally because it was classified under a legacy product code in the firm's system.

By fall 2022, when Margaret needed funds for tuition, she found herself unable to access the new non-traded REIT position due to the redemption cap being suspended temporarily amid broader market volatility in the commercial real estate sector. She ultimately liquidated a portion of her IRA at an unfavorable time, incurring taxes and penalties, and filed a complaint with the state securities regulator alleging Derek failed to understand her full financial picture before making the recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Derek possessed actual knowledge of a material near-term liquidity need - the daughter's graduate school tuition - through his 2020 conversation with Margaret, yet failed to document it, incorporate it into his formal suitability analysis, or verify how it would be funded. Under FINRA Rule 2111 and the customer-specific suitability obligation, an advisor must consider all information reasonably available about the customer, including information obtained through the advisory relationship itself, not merely what appears on a new account form. FINRA Regulatory Notice 10-22 specifically

identifies the duty to conduct a reasonable investigation of the customer's financial situation, tax status, investment objectives, and other information used in making a recommendation. The omission of a known \$30,000 near-term liquidity need from the suitability calculus arguably rendered the entire analysis incomplete.

Furthermore, the combined illiquid alternative exposure of approximately 40% of liquid assets - particularly when the prior non-traded REIT itself had produced no meaningful distributions and had no visible redemption pathway - represents a concentration that, even if nominally within firm guidelines, raises questions about whether those guidelines were properly applied. The supervisory principal's approval was based on a flawed calculation that excluded the legacy REIT position. Under Regulation Best Interest (Rule 15l-1), the care obligation requires the firm and advisor to exercise reasonable diligence and care to understand the potential risks, rewards, and costs of the recommended security in light of the retail customer's investment profile, including the customer's financial situation and needs. The failure to account for a known liquidity need and the compounding effect of a pre-existing illiquid position could constitute a failure of that care obligation.

Arguments against a violation: Derek had a reasonable, documented basis for believing Margaret's pension income would serve as her liquidity cushion. The \$3,400 monthly pension is a meaningful recurring income stream, and Derek's assumption that Margaret would fund her daughter's tuition from her pension and an unmanaged savings account was not facially unreasonable - particularly since he had no direct management authority over or visibility into those other funds. Courts and arbitration panels have recognized that advisors are not required to verify every financial detail outside their account relationship. The new account form update in January 2021 was comprehensive within the scope of the firm's standard process, and the product itself was disclosed fully in writing with Margaret's signature confirming receipt and acknowledgment of illiquidity terms.

The product's conservative underlying asset profile - stabilized, investment-grade tenanted warehouses with long-term leases - and its 5.5% distribution yield were genuinely aligned with Margaret's stated income and growth objective. Her prior experience with a non-traded REIT, however unsatisfying, evidenced she was not a naive investor being introduced to illiquid alternatives for the first time. The supervisory approval, even if based on an imperfect calculation, reflected a good-faith institutional review process. NASAA's guidance on non-traded REIT suitability acknowledges that pension income can appropriately offset illiquidity concerns in a customer profile. Some regulators may conclude that the harm here was driven primarily by an unforeseen market event - the redemption cap suspension - rather than a foreseeable failure at the time of recommendation.

Why Borderline

This scenario sits in genuine gray territory because Derek had actual knowledge of a near-term liquidity need but a plausible independent basis for believing it would be funded outside the investment relationship. The product itself was conservative and well-disclosed, and the concentration, while elevated, fell within firm guidelines as applied (even if that application was flawed). The harm materialized through a combination of the advisor's incomplete profile work, a systemic calculation error at the supervisory level, and an unforeseen market disruption - making it difficult to isolate whether any single actor's conduct crossed the line from imperfect practice to actionable failure. Regulators and arbitrators would genuinely

disagree about whether Derek's awareness of the tuition obligation, standing alone, was sufficient to trigger an obligation to adjust his recommendation absent any documented request by Margaret to tie that funding need to her investment portfolio.

Borderline Factors

- Advisor had informal but undocumented knowledge of a material near-term liquidity need that was not reflected in the formal suitability profile
- Reasonable basis existed for the advisor to assume the liquidity need would be funded from assets outside his management scope
- Combined illiquid concentration of approximately 40% of liquid assets was elevated but fell within firm guidelines as applied by the supervisory principal
- Supervisory approval calculation excluded the legacy non-traded REIT through a system classification error, not apparent bad faith
- Product had conservative underlying asset risk profile consistent with stated moderate risk tolerance and income objectives
- Client had prior experience with non-traded REITs, undermining a naive investor narrative
- Harm was partly caused by an unforeseen market-driven redemption cap suspension, not solely by the illiquidity of the product itself
- Prior non-traded REIT's lack of distributions and absent redemption pathway was a known compounding factor that Derek did not formally weigh
- Full written disclosure of illiquidity terms was acknowledged by the client at the time of investment
- NASAA guidance on non-traded REIT suitability permits pension income to serve as a liquidity offset but does not specify how informally-known needs outside the account should be treated

Likely Outcome

A regulator would most likely conclude that Derek committed a technical but meaningful failure to know his customer, resulting in a deficient recommendation, though the case would likely resolve at the lower end of the disciplinary spectrum absent evidence of broader pattern conduct. The central issue - that Derek knew of a material near-term liquidity need and excluded it from his written analysis - is difficult to defend regardless of the assumptions he claims to have made. Under FINRA Rule 2111's reasonable-basis and customer-specific prongs, the obligation to consider information actually known to the advisor does not depend on whether that information was formally documented in a new account form. Similarly, the Regulation Best Interest care obligation requires the advisor to have a reasonable basis to believe the recommendation is in the retail customer's best interest considering their full investment profile. The failure to document the tuition need, combined with the supervisory system error inflating the apparent compliance of the concentration level, would likely lead a regulator to find the recommendation process inadequate even if not egregiously so. A likely outcome is a regulatory finding of a supervisory and suitability process deficiency, a modest fine, and a requirement to remediate the client - potentially through reimbursement of the IRA liquidation penalties - rather than a bar or suspension, given the product's underlying quality, the client's acknowledged experience, and the role of market events in causing the ultimate harm.

Borderline Scenario 13

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (suitability, including customer-specific suitability and the obligation to*

Fact Pattern

In March 2021, Marcus Heller, a broker at a regional independent broker-dealer, recommended that his client, Dolores Vance, invest \$85,000 in a non-traded real estate investment trust focused on commercial office properties. Dolores was 61 years old at the time, a semi-retired dental hygienist who still worked part-time roughly 20 hours per week earning approximately \$28,000 annually. Her investment account at the firm held approximately \$310,000, consisting primarily of municipal bond funds and a modest allocation to large-cap equity mutual funds. She also had a separate 401(k) through her former employer with an estimated balance of \$195,000, which Heller was aware of but had no direct management over. Dolores owned her home outright, with no mortgage, and had minimal debt. Her new account form, completed in 2019 when she transferred to Heller's firm, listed her investment objective as 'income and preservation,' her risk tolerance as 'moderate,' and her time horizon as 'five to seven years.' The form noted she had 'some' investment experience. Heller had spoken with Dolores several times over the prior two years about her financial situation and recalled her expressing frustration with low yields on her bond funds and a desire to generate better monthly income. In one recorded phone call from November 2020, Dolores said, quote, 'I don't need this money anytime soon, I've got my part-time income and Social Security kicking in next year, so if something earns me more over the next decade I'm open to it.' Heller noted this conversation in his files but did not update her formal account profile to reflect a longer time horizon or any change in liquidity needs. The non-traded REIT he recommended carried a seven-to-ten year expected hold period with no secondary market, paid an estimated 5.8% annual distribution, and had front-end fees of approximately 7%. The \$85,000 investment represented roughly 27% of her directly managed assets, or about 17% when including the 401(k). At the time of the recommendation, the commercial office sector was facing well-documented headwinds from remote work trends, though many analysts still projected long-term stabilization. Heller conducted a review of the REIT's offering documents and sponsor track record, finding the sponsor had completed two prior programs with full returns to investors, though neither had faced a pandemic-era environment. Dolores signed all required subscription documents and initialed disclosures acknowledging the illiquid nature of the product. Eighteen months later, the REIT suspended distributions citing occupancy challenges, and Dolores contacted the firm expressing surprise at the illiquidity, stating she had not fully understood she could not access the funds. Heller maintained he had explained the illiquidity verbally and that the documents she signed were explicit on this point.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: Heller's most significant exposure arises from the failure to update Dolores's account profile after the November 2020 phone call, which is a core component of knowing one's customer. Her formal profile listed a five-to-seven year time horizon and moderate risk tolerance, while the non-traded REIT carried a seven-to-ten year illiquid hold period. Recommending a product whose minimum expected hold period meets or exceeds the client's stated maximum time horizon is a red flag under FINRA Rule 2111 and the customer-specific prong of suitability analysis. The 27% concentration in a single illiquid, non-traded product from her directly managed account is also notable; NASAA guidance on DPP suitability has historically flagged concentration levels above 10-20% of liquid net worth as potentially problematic, particularly for clients near or in retirement. The 7% front-end fee load materially erodes principal and is difficult to justify for a client with an income-and-preservation objective. Her subsequent statement that she did not understand the illiquidity raises questions about whether Heller's oral disclosures were adequate,

even if subscription documents were signed. Regulators have consistently held in non-traded REIT enforcement contexts that signed disclosures do not cure an underlying unsuitable recommendation or a failure to ensure the customer actually understood material product features. The commercial office sector headwinds known at the time of recommendation add a layer of product-level concern, suggesting Heller may not have done sufficient investigation into sector-specific risks under the reasonable investigation duty applicable to DPP offerings. Arguments against a violation: Dolores's oral statement in November 2020 is a meaningful and documented counterweight. She explicitly said she did not need the money soon, was open to a decade-long horizon for the right return, and expressed dissatisfaction with her current yield. While Heller failed to formally update her profile, the substantive information was obtained and documented. A formalistic reading that privileges the stale written profile over contemporaneous documented oral communications may not reflect the practical realities of an ongoing advisory relationship. The 17% concentration figure, when the 401(k) is included, sits within or near ranges that many practitioners and some arbitration panels have found acceptable. The sponsor had a completed track record, Heller reviewed offering documents, and the product's distribution rate addressed Dolores's stated income concern. Dolores was 61, not 80; she had stable supplementary income from part-time work and Social Security; and she owned her home debt-free, suggesting limited near-term liquidity pressure. The signed documents with explicit illiquidity disclosures, while not determinative, are not irrelevant. The product was not a fraud or a Ponzi scheme; it faced genuine market headwinds that were not entirely foreseeable in early 2021. A regulator examining this case would also need to weigh whether Reg BI's care obligation, applicable since June 2020, requires a higher standard than legacy suitability for broker-dealers, including a more thorough documentation of the cost-benefit analysis given the 7% load.

Why Borderline

This scenario is genuinely ambiguous because the client's documented oral statements directly contradict her written profile in material ways, and the advisor captured but did not formalize those statements. The concentration level falls in a zone where reasonable practitioners disagree, the sponsor had a legitimate prior track record, and the client was not elderly or wholly unsophisticated. The core tension is whether undocumented but noted oral updates to a client's financial picture can substitute for formal profile maintenance, and whether a signed disclosure cures a potential failure to ensure the client understood illiquidity.

Borderline Factors

- Client's oral statement documented in advisor notes suggests longer time horizon than written profile reflects, but formal profile was never updated
- Concentration of 27% of directly managed assets versus 17% of total known assets straddles common informal thresholds
- Client was semi-retired with supplementary income streams and no debt, reducing near-term liquidity urgency despite profile language
- Sponsor had completed prior programs successfully, supporting reasonable investigation argument, but prior programs predated pandemic-era office market conditions
- Signed subscription documents with explicit illiquidity disclosures exist, but client later claimed lack of understanding
- 7% front-end fee is high but not unprecedented for non-traded REIT products and was disclosed
- Commercial office sector headwinds were publicly documented but not universally predictive of failure at time of recommendation

- Client expressed active dissatisfaction with current yield and invited discussion of longer-duration income products
- Reg BI's cost-benefit documentation requirements were in effect but the degree of required written analysis for DPPs remains unsettled in practice

Likely Outcome

A regulator would most likely find a technical violation but potentially treat it as a supervision and documentation deficiency rather than a willful suitability violation warranting the most severe sanctions. The failure to update the client profile after material new information is a clear procedural gap. Under Reg BI Rule 15l-1(a)(2)(ii), the broker-dealer's care obligation requires understanding the customer's investment profile, and relying on a two-year-old form while noting updated oral information without formalizing it falls short of that standard. FINRA Rule 2111 similarly requires a current and complete customer profile for the suitability analysis to be valid. The 7% cost load in a context where the client's objective was preservation would likely attract scrutiny under Reg BI's explicit cost consideration requirement. However, the outcome would likely stop short of a finding of egregious unsuitability because of the documented oral conversation, the client's mixed financial picture suggesting some capacity for illiquidity, and the sponsor's track record. The firm might face findings related to supervisory failures to ensure profile updates occurred after material client communications, and Heller might receive a censure or fine rather than a suspension, depending on whether this was an isolated instance or part of a pattern.

Borderline Scenario 14

Topic: *private_placements_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) - requiring reasonable basis, customer-specific, and*

Fact Pattern

Marcus Delray, a 61-year-old semi-retired mechanical engineer living in suburban Houston, met with his financial advisor, Patricia Winslow, at a regional broker-dealer in March 2019. Delray had been Winslow's client for nine years and had a self-described 'moderate-aggressive' risk tolerance on file. His portfolio at the time totaled approximately \$1.4 million: \$900,000 in a rollover IRA holding diversified mutual funds and ETFs, \$280,000 in a taxable brokerage account, and roughly \$220,000 in home equity. He also received \$3,200 per month from a part-time engineering consulting arrangement he expected to continue for at least four more years, and his wife held a \$68,000-per-year position as a hospital administrator. Together, their household income was approximately \$120,000 annually. Delray told Winslow he was interested in generating income beyond what his mutual funds were producing and that he had 'some appetite' for alternative investments, having previously invested \$50,000 in a tenant-in-common real estate deal in 2014 that ultimately broke even after six years. He described himself as comfortable holding illiquid positions for 'five to seven years, maybe longer if the deal is good.' Winslow recommended that Delray invest \$150,000 - approximately 10.7% of his total investable assets - into a non-traded real estate investment trust focused on commercial medical office buildings across the Sun Belt. The product carried an upfront load of 7%, an annual asset management fee of 1.25%, and had an anticipated hold period of seven to ten years with no secondary market. Winslow's firm had conducted an internal review of the sponsor approximately eight months earlier and had approved the product for sale to clients with net worth above \$250,000 and annual income above \$70,000, which Delray met. The firm's written approval memorandum noted that the sponsor had successfully exited two prior programs and had roughly \$2.1 billion in assets under management.

Winslow did not conduct any independent investigation beyond reviewing the firm's approval materials. She did not separately obtain or review the sponsor's audited financials, the property appraisals underlying the portfolio, or the background of the sponsor's senior management team. At the time of Winslow's recommendation, there was industry-level concern - discussed in trade publications but not yet the subject of any formal governmental inquiry - that several Sun Belt commercial office valuations were being maintained at acquisition-cost basis despite softening market conditions. Winslow was aware these concerns existed but concluded, without further analysis, that the specific sponsor's portfolio was geographically diversified enough to manage the risk. She documented her recommendation with a two-page suitability questionnaire and a signed acknowledgment from Delray confirming he understood the illiquid nature of the investment. Delray also verbally told Winslow he 'trusted her judgment' and 'didn't want to get too deep into the weeds on the details.' By late 2021, the non-traded REIT suspended its distribution reinvestment program and share redemption program, citing liquidity constraints tied to occupancy declines at several properties. Delray's \$150,000 investment was marked at approximately \$87,000 on his most recent statement, a decline of roughly 42%. Delray, now fully retired and drawing from his portfolio, filed a complaint alleging Winslow recommended an investment she did not adequately investigate and that it was unsuitable given his approaching retirement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Winslow violated applicable standards: First, under FINRA Rule 2111 and Reg BI Rule 15l-1, a broker must conduct a reasonable investigation of the securities she recommends, not merely rely on her firm's internal approval process. FINRA Regulatory Notice 10-22 specifically warns that firms and registered representatives cannot simply defer to issuer-provided documentation or internal approval lists - they must conduct an independent, reasonable investigation into the issuer's financial condition, management, and the merits of the specific investment. Winslow reviewed only her firm's eight-month-old approval memorandum without independently examining the sponsor's audited financials, the property-level appraisals, or management backgrounds, despite the existence of widely-reported industry concerns about Sun Belt commercial office valuations. A regulator could reasonably conclude this fell short of the independent reasonable investigation duty articulated in RN 10-22 and reinforced in numerous non-traded REIT enforcement actions. Second, the 7% upfront load, combined with 1.25% annual fees, created a significant cost burden that, when layered onto the investment's illiquidity, arguably made the product unsuitable under Reg BI's cost-benefit analysis component even if the underlying asset class was appropriate for a moderate-aggressive investor. Third, while Delray met the minimum financial thresholds the firm established, thresholds are floors - not determinations of suitability. At age 61, with full retirement imminent and his consulting income expected to phase out, a seven-to-ten-year illiquid hold with no redemption mechanism exposed him to meaningful liquidity risk if his financial circumstances changed, which they did. Fourth, NASAA guidance on DPP suitability has consistently held that a client's stated comfort with illiquidity must be evaluated against objective financial circumstances, not just subjective representations. Arguments in Winslow's favor: Delray's financial profile, evaluated holistically at the time of recommendation, arguably supported the investment. His \$1.4 million portfolio meant the \$150,000 commitment represented approximately 10.7% of investable assets - below the 10-15% concentration thresholds commonly cited in NASAA guidance as presumptively problematic. His household income of \$120,000 annually, combined with his wife's stable employment and his own continuing consulting income,

provided meaningful liquidity outside the locked-up investment. His prior TIC investment demonstrated genuine familiarity with illiquid real estate structures. His written acknowledgment of illiquidity risks and his expressed preference to trust Winslow's judgment cut against a claim that he was misled. The sponsor's track record - two successful prior exits, \$2.1 billion AUM - provided a reasonable basis for confidence that was documented in the firm's approval memorandum. Courts and arbitration panels have generally recognized that reliance on a firm's internal due diligence process is at least some evidence of good faith, even if imperfect. Winslow's awareness of Sun Belt valuation concerns and her documented conclusion that diversification mitigated the risk, while thin, represents some form of analytical process rather than no analysis at all. The subsequent decline in value, driven by occupancy problems partly tied to the COVID-19 pandemic, was a macro event arguably beyond any reasonable projection at the time of the 2019 recommendation.

Why Borderline

This scenario is genuinely borderline because Delray's objective financial profile at the time of recommendation was arguably sufficient to support the investment, yet the depth of Winslow's independent investigation was clearly thinner than regulatory guidance envisions. The concentration level was within commonly cited safe harbors, household income was strong, and the client had relevant prior experience with illiquid real estate. At the same time, Winslow's failure to go beyond the firm's stale approval memo - particularly given known industry-level valuation concerns - is the kind of conduct that enforcement actions have specifically targeted. A critical question is whether the investigation duty requires a separate, individualized analysis of each product each time it is recommended, or whether a robust and recent firm-level review satisfies the duty. Regulators have not drawn a perfectly bright line, creating genuine practitioner disagreement. Additionally, the role of the macro COVID-19 shock in causing the loss complicates causation analysis: even a more thorough investigation in 2019 might not have revealed the risks that materialized in 2020-2021.

Borderline Factors

- Concentration level of 10.7% is within NASAA's commonly referenced outer limits, making per se concentration unsuitability hard to establish
- Client's objective financial profile - dual income household, \$1.4M portfolio, stable employment for spouse - supported some level of illiquid investment at the time of recommendation
- Client had prior experience with illiquid real estate and executed a written acknowledgment of illiquidity risks
- Winslow's investigation, while not independent, was not zero - she relied on an eight-month-old firm approval memorandum from a review that examined sponsor track record and financials
- Sponsor had a documented track record of two prior successful exits and substantial AUM, providing at least a baseline of credibility
- Industry valuation concerns were known but informal - not yet the subject of regulatory inquiry - making it ambiguous how much weight a reasonable advisor was required to give them
- Significant portion of the investment loss is attributable to COVID-19 pandemic occupancy declines, raising causation questions about whether even a more thorough 2019 investigation would have changed the outcome
- Client expressly stated he trusted Winslow's judgment and did not want to review detailed materials, potentially shifting some due diligence burden to a sophisticated, consenting client
- Winslow's failure to review audited financials and property appraisals independently is precisely the

conduct targeted by regulatory guidance on reasonable investigation, creating a strong counterargument

- Seven-to-ten-year illiquid hold period in the context of a 61-year-old facing imminent full retirement raises legitimate concern about liquidity mismatch even if not definitive

Likely Outcome

A regulator would most likely conclude that Winslow's investigation was deficient under the reasonable investigation standard, but would face meaningful difficulty establishing that the investment was unsuitable on financial profile grounds alone. The most probable enforcement outcome, if pursued, would be a finding of an inadequate investigation process rather than a clean unsuitable recommendation finding - particularly because the concentration level, income profile, and client acknowledgment collectively weaken the pure suitability argument. A FINRA arbitration panel, by contrast, presented with the client's actual 42% loss, might be more sympathetic to the full unsuitable recommendation theory. The firm's eight-month-old approval process and Winslow's failure to independently examine audited financials, property appraisals, or management backgrounds - especially against a backdrop of known industry-level valuation concerns - would likely be the centerpiece of any adverse finding. The case would likely settle with sanctions reflecting deficient investigation practices rather than a clear-cut unsuitable recommendation, and any damages award in arbitration would likely be reduced to account for the portion of the loss attributable to the COVID-19 macro shock.

Borderline Scenario 15

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (suitability - requires that a recommendation be suitable based on the*

Fact Pattern

In early 2021, Raymond Kowalski, a 58-year-old semi-retired mechanical engineer living in suburban Ohio, met with his financial advisor of nine years, Derek Foss, at a mid-sized regional broker-dealer. Kowalski had accumulated approximately \$1.4 million in investable assets: \$900,000 in a rollover IRA holding a diversified mix of index funds and bonds, \$280,000 in a taxable brokerage account, and roughly \$220,000 in a money market account he described as his 'sleep money.' He owned his home outright, carried no debt, and received \$2,400 per month from a part-time consulting contract he expected to continue for at least three more years. He had no pension and would not begin drawing Social Security until age 65. His new account paperwork from 2019 listed his investment objective as 'growth and income,' his time horizon as '7 to 10 years,' and his risk tolerance as 'moderate.' In a handwritten note on the form, Kowalski had added: 'Open to alternatives if they make sense tax-wise.'

Foss had been following a non-traded real estate investment trust sponsored by a regional operator, Hearthstone Property Partners, that focused on a portfolio of medical office buildings and senior living facilities across the Midwest. The offering was structured as a Regulation D private placement with a minimum investment of \$50,000, a stated distribution rate of 6.2% annually paid quarterly, and an anticipated hold period of six to eight years before a liquidity event - either a public listing or asset sale. The offering documents disclosed that distributions were not guaranteed and could be paid from offering proceeds rather than operating income during the ramp-up phase. Investors had no redemption rights for the first two years, and thereafter redemptions were subject to a 5% quarterly cap on the total fund and a 10% haircut on net asset value if redeemed before year five.

Foss recommended that Kowalski invest \$140,000 - exactly 10% of his total investable assets - into the Hearthstone offering, drawn entirely from the taxable brokerage account. Foss's internal notes from their two meetings documented that he walked Kowalski through the offering memorandum over approximately 90 minutes, highlighted the illiquidity provisions in detail, and sent Kowalski a follow-up email summarizing the key risks including the possibility that distributions could be return-of-capital payments. Foss also noted that Kowalski's consulting income covered his monthly expenses with roughly \$800 per month left over, and that Kowalski had explicitly told him, 'I don't see myself needing that brokerage money for at least eight years - it's basically my bridge account until Social Security kicks in and after that I'm comfortable.'

Foss ran Kowalski through his firm's alternative investment questionnaire, which assigned a score of 62 out of 100 - landing in the 'moderate-aggressive' band that the firm's written supervisory procedures deemed eligible for alternative investment allocations up to 15% of liquid net worth. The firm defined liquid net worth as all assets excluding primary residence and retirement accounts, which for Kowalski worked out to approximately \$500,000 (the \$280,000 brokerage account plus the \$220,000 money market). Under that methodology, a 15% cap would allow up to \$75,000 in alternatives - making the \$140,000 recommendation exceed the firm's own internal guideline by \$65,000, or nearly double the permitted amount. Foss was aware of this discrepancy and documented in his notes that he believed the firm's formula was 'overly conservative' because it excluded the IRA, and that when the IRA was included, a 10% allocation to alternatives across Kowalski's total \$1.4 million portfolio was well within what he considered reasonable for a client of Kowalski's profile and time horizon.

Foss's branch manager reviewed the transaction and approved it after a ten-minute conversation with Foss, accepting Foss's argument about the IRA inclusion but not documenting any independent analysis. The firm's home office compliance department had not updated its alternative investment guidelines since 2017 and had issued no formal guidance on whether retirement accounts should be included in the liquid net worth calculation for non-traded REIT allocations. Foss earned a commission of approximately \$9,800 on the transaction, representing a 7% selling concession standard for the offering.

Eighteen months later, Kowalski's consulting contract was unexpectedly terminated when his client company was acquired. He contacted Foss requesting redemption of the Hearthstone investment to supplement his income. He was informed that the quarterly redemption queue was backlogged and that even if approved, his redemption would be subject to the 10% NAV haircut. Kowalski filed a complaint with the broker-dealer, stating that he had not fully appreciated that his ability to access the money was this restricted, despite having signed all disclosure documents.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Foss acted appropriately: Kowalski was 58 years old with a seven-to-ten year stated time horizon, no debt, a paid-off home, and a substantial liquidity cushion in the form of \$220,000 in money market funds - an amount that, combined with his consulting income, would have covered several years of expenses even without the Hearthstone investment. Foss documented his process meticulously, spent 90 minutes reviewing the offering memorandum with Kowalski, followed up in writing, and obtained an explicit

verbal statement from Kowalski that he did not anticipate needing the brokerage funds for at least eight years - closely matching the investment's anticipated hold period. From a portfolio-level perspective, the \$140,000 investment represented exactly 10% of Kowalski's total \$1.4 million portfolio, a concentration level that many practitioners would consider reasonable for a moderate-to-moderate-aggressive investor seeking diversification into real assets with tax-advantaged income characteristics. The 6.2% stated distribution rate was consistent with Kowalski's 'growth and income' objective. Kowalski also self-identified as open to alternatives with tax advantages, and medical office and senior living real estate has historically demonstrated relatively stable cash flows compared to other private real estate sectors. Foss's logic regarding the IRA inclusion is not without basis: many industry practitioners and commentators have argued that excluding retirement accounts from alternative investment concentration calculations produces artificially conservative thresholds that do not reflect a client's true financial picture.

Arguments that Foss acted inappropriately: The most significant problem is that Foss knowingly exceeded his own firm's written supervisory procedures, which capped alternative investment allocations at 15% of liquid net worth as defined by the firm - a cap that would have permitted only \$75,000, not \$140,000. Foss's decision to substitute his own methodology for the firm's without documented approval from compliance - relying instead on a ten-minute branch manager conversation - represents a procedural failure regardless of whether his alternative methodology was substantively sound. Under established regulatory principles, advisors are expected to follow firm procedures, and branch managers cannot unilaterally waive compliance thresholds without home office authorization. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, and the firm's own guidelines are part of the supervisory infrastructure designed to operationalize that standard. FINRA Regulatory Notice 10-22 explicitly states that firms must conduct reasonable investigations into the offerings they sell and must have supervisory systems designed to ensure that recommendations of private placements are suitable - the firm's failure to update its guidelines since 2017 and the branch manager's undocumented approval both suggest supervisory gaps. Under Regulation Best Interest (Rule 15l-1), Foss had an obligation to act in Kowalski's best interest at the time of recommendation, including understanding and disclosing material conflicts; his \$9,800 commission on a 7% selling concession is a meaningful conflict that, while disclosed in the offering documents, may not have been sufficiently highlighted in the context of the recommendation itself. The fact that Kowalski's primary liquidity cushion outside the investment was the \$220,000 money market - but that his consulting income, which was the assumed bridge to Social Security, was ultimately fragile - suggests the liquidity analysis was built on an assumption (continued consulting income) that was not stress-tested. Kowalski's complaint that he did not fully appreciate the redemption restrictions, despite signing disclosure documents, is consistent with regulatory findings in numerous non-traded REIT enforcement actions where investors acknowledged receipt of disclosures but advisors did not adequately ensure comprehension of illiquidity terms.

Why Borderline

This case sits in genuine gray territory because the recommendation was procedurally deficient under the firm's own written guidelines, yet substantively defensible from a portfolio-level concentration standpoint when the full picture of Kowalski's assets is considered. Reasonable practitioners could disagree about whether excluding IRAs from liquid net worth calculations is appropriate, and Foss's documentation and disclosure process was above average for the industry. The harm materialized from an idiosyncratic event - job loss - that Kowalski himself described as unlikely, not from any flaw inherent in the investment thesis.

The commission conflict is real but not unusual in the DPP space, and the 7% concession is industry-standard for this product type. Regulators and arbitrators could plausibly land on either side depending on how much weight they give to: (1) the firm's internal cap violation versus (2) the holistic portfolio appropriateness of the allocation; and (3) whether the disclosed illiquidity risks were adequately communicated versus (4) whether Kowalski's signed acknowledgments satisfied the advisor's obligation.

Borderline Factors

- Foss exceeded firm written supervisory procedures for alternative investment concentration but had a facially reasonable methodology argument for why those procedures were overly conservative
- The \$140,000 investment was 10% of total assets but approximately 28% of liquid net worth as defined by the firm, depending on which methodology is applied
- Kowalski had a substantial separate liquidity cushion (\$220,000 money market) that arguably made the brokerage account functionally illiquid even before the Hearthstone investment
- Kowalski's explicit statement that he would not need the funds for eight years closely matched the investment hold period, supporting suitability, but that assumption proved false due to circumstances neither party anticipated
- Foss's documentation and disclosure process was detailed and written, which cuts against a finding of concealment or negligence in the recommendation process
- The branch manager provided verbal approval without independent documented analysis, creating supervisory liability that is distinct from the advisor's individual liability
- The 7% commission creates a conflict of interest that is standard for the product type but still requires careful analysis under Reg BI's conflict identification and mitigation framework
- The firm's failure to update its alternative investment guidelines since 2017 raises institutional supervisory questions that could either absorb or amplify Foss's individual culpability
- Kowalski signed detailed disclosure documents acknowledging illiquidity but later claimed he did not fully appreciate the restrictions - the adequacy of verbal explanation versus written disclosure is disputed

Likely Outcome

A regulator would most likely find that Foss committed a procedural violation by knowingly exceeding his firm's written supervisory procedures without documented home office approval, and that the branch manager's undocumented ten-minute approval was insufficient to cure that deficiency. However, the regulator would probably not find that the recommendation was substantively unsuitable given Kowalski's overall financial profile, time horizon, and documented discussions. The more likely enforcement focus would be on the firm's supervisory failures - the outdated guidelines, the absence of formal guidance on IRA inclusion, and the inadequate branch manager review process - rather than on Foss individually. Under Regulation Best Interest, a regulator might also find that the conflict disclosure was technically present in the offering documents but not adequately surfaced in Foss's direct communications with Kowalski, warranting a remediation order or heightened supervision rather than a bar or suspension. In a FINRA arbitration brought by Kowalski, a panel might award partial damages on an unjust enrichment or negligence theory given the procedural violations, even if it did not find the investment was inherently unsuitable for someone of Kowalski's profile.

Borderline Scenario 16

Fact Pattern

In early 2019, Marcus Delray, a registered representative at a mid-sized regional broker-dealer, recommended that Patricia Hollingsworth, a 61-year-old retired school principal, invest \$85,000 in a non-traded real estate investment trust focused on commercial office properties. Patricia had a self-described moderate risk tolerance on her account paperwork, a \$420,000 IRA rollover as her primary retirement asset, a modest pension of \$2,200 per month, and Social Security income of \$1,450 per month. She owned her home outright, had no significant debt, and maintained approximately \$38,000 in a liquid savings account. Her stated investment objectives included income generation and capital preservation, with a secondary interest in modest growth. She had previously invested in two certificates of deposit and one mutual fund through the firm, but had no prior experience with illiquid or private placement investments.

Delray had known Patricia for roughly four years and described her in his notes as a 'conservative to moderate' investor who was 'looking for yield in a low-interest-rate environment.' The non-traded REIT carried an upfront load of 7%, a quarterly distribution rate that had historically averaged 5.8% annually, and a stated liquidity horizon of five to seven years before any anticipated liquidity event such as a listing or merger. The offering documents disclosed that distributions were not guaranteed and could be funded in part from return of capital rather than operating income. The sponsor had a ten-year track record with two prior non-traded REITs, both of which had eventually listed on national exchanges at values within 12% of their original offering prices.

Delray reviewed the offering memorandum and conducted a phone interview with the sponsor's due diligence team. He noted in his files that the firm's internal product review committee had approved the REIT for sale to clients with moderate or above risk tolerance and net worth exceeding \$250,000, excluding primary residence. Patricia met both thresholds, with her net worth - excluding her home - approximating \$458,000 at the time of the recommendation.

The \$85,000 investment represented approximately 18.6% of Patricia's total investable assets. Delray's firm had an internal guideline suggesting that illiquid alternative investments generally should not exceed 20% of a client's liquid net worth, and Patricia remained just below that threshold. Delray documented his rationale, noting the yield benefit relative to available fixed-income alternatives, the sponsor's track record, and Patricia's income coverage through pension and Social Security that reduced her immediate liquidity needs.

However, Patricia later told the firm's compliance department that she had mentioned to Delray during a 2018 conversation - roughly six months before the recommendation - that she anticipated needing to help fund her daughter's graduate school tuition, potentially \$30,000 to \$40,000 over two years beginning in late 2020. Delray's notes from that conversation referenced the tuition discussion but characterized it as 'possible, not definite.' Patricia said she believed Delray understood this was a real likelihood. By mid-2020, the non-traded REIT suspended its distributions entirely due to pandemic-related office vacancy pressures and announced it was postponing any liquidity event indefinitely. Patricia sought to redeem her shares to help with her daughter's tuition but found the redemption program had been suspended. She filed a complaint with the firm in late 2020 alleging the investment was inappropriate given her known near-term

cash need.

Delray maintained that Patricia had never presented the tuition obligation as a certainty, that she met all firm-defined eligibility criteria, that her liquid savings and monthly income were sufficient to cover the tuition independently, and that no one could have predicted the pandemic's effect on commercial real estate. Patricia countered that her \$38,000 in savings was earmarked mentally for emergencies and that the tuition need was real and communicated. The firm's compliance review found the documentation ambiguous - the 2018 note acknowledged the tuition conversation but did not flag it as a constraint on liquidity needs in the 2019 suitability analysis.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: Patricia was 61 years old, retired, relying on fixed income sources, and had explicitly communicated a near-term liquidity need of \$30,000 to \$40,000 approximately 18 months before the funds would be required. Under FINRA Rule 2111 and the customer-specific prong of suitability analysis, an advisor is obligated to consider not just stated risk tolerance and net worth thresholds but the full financial picture including known upcoming cash needs. The advisor's own notes acknowledged the tuition conversation, which creates a documented record that the need was known. Placing 18.6% of a retiree's investable assets - whose income sources were modest and fixed - into an investment with a five-to-seven-year illiquidity horizon, absent guaranteed distributions, and funded partly from return of capital, cuts against a genuine income-preservation objective. FINRA Regulatory Notice 10-22 emphasizes that broker-dealers must conduct reasonable due diligence on the customer's specific financial situation and that illiquidity risk must be specifically addressed for customers with near-term needs. The 7% upfront load immediately reduced the investment's value to approximately \$79,050, a material drag on a capital-preservation objective. The argument that Patricia's savings and income could independently cover tuition sidesteps the advisor's obligation to consider her holistic picture - she had communicated the need, the advisor noted it, and the suitability analysis omitted it. Non-traded REIT enforcement actions by FINRA and state regulators have consistently held that concentration just below an internal guideline threshold does not itself establish appropriateness when other customer-specific factors are unaddressed.

Arguments against a violation: Patricia met every firm-defined eligibility threshold, including net worth, risk tolerance classification, and concentration limits. The recommendation was made in early 2019, before any observable deterioration in commercial real estate fundamentals. The sponsor had a demonstrated track record, the product had passed internal due diligence review, and Delray documented his rationale in contemporaneous notes. The tuition need was characterized by the advisor as contingent rather than certain - a reasonable interpretation given Patricia's own language at the time - and the \$38,000 in liquid savings plus approximately \$3,650 per month in fixed income provided an independent pathway to fund the tuition without touching the REIT. The 18.6% concentration was within the firm's own guidelines, which had been established by a compliance function specifically designed to capture appropriate exposure levels for moderate investors. Under a Reg BI analysis, Rule 15l-1 requires that recommendations reflect the customer's best interest at the time of recommendation based on available information; Delray had a reasonable basis for the recommendation, documented it, and the investment's subsequent failure resulted from a black-swan exogenous shock rather than inherent product unsuitability. NASAA guidelines on DPP

suitability acknowledge that concentration thresholds and financial eligibility criteria, when properly applied, can support a compliant recommendation even for older investors seeking income alternatives.

Why Borderline

This scenario is genuinely ambiguous because the advisor's documentation is internally consistent and Patricia facially met all product eligibility criteria, yet a known near-term liquidity need was acknowledged in prior notes and then not explicitly factored into the forward-looking suitability analysis. The line between a 'possible' versus 'definite' future cash need - and whether an advisor must treat the former as a suitability constraint - is not clearly resolved in regulatory guidance. The pandemic's role in the ultimate harm further clouds the causal analysis: was the investment inappropriate at inception, or did it become harmful only due to an unforeseeable event? Reasonable practitioners and regulators could land on opposite sides.

Borderline Factors

- The near-term tuition obligation was documented in the advisor's own prior notes but characterized as contingent, creating ambiguity about whether it should have been treated as a binding liquidity constraint
- Patricia met all firm-defined eligibility thresholds including net worth, risk tolerance, and concentration limits, providing a procedural compliance defense
- The 18.6% concentration was below the firm's 20% internal guideline, sitting in a gray zone where it is compliant by policy but meaningfully illiquid relative to total assets
- Patricia's fixed income of approximately \$3,650 per month and \$38,000 in savings provided a plausible independent means to fund the tuition without accessing the REIT, weakening the liquidity argument
- The investment's failure was driven primarily by the COVID-19 pandemic, an exogenous event that raises the question of whether harm resulted from the recommendation or from an unforeseeable shock
- The sponsor had a legitimate ten-year track record with outcomes broadly consistent with offering price, supporting the advisor's due diligence defense
- The 7% upfront load is high but not extraordinary for non-traded REIT products and was disclosed; whether it alone renders the recommendation unsuitable is debatable
- Patricia's stated objectives included income generation, which the REIT's historical 5.8% distribution yield directly addressed relative to available fixed-income alternatives at the time
- The advisor's notes acknowledged the tuition discussion but the suitability documentation did not explicitly address it as a constraint, creating a documentation gap that may or may not be outcome-determinative

Likely Outcome

A regulator would most likely find a technical violation but would treat it as a borderline case warranting enhanced supervision or a letter of caution rather than a formal disciplinary action or significant fine. The central issue - whether a 'possible' near-term liquidity need documented in the advisor's own files constitutes known financial information that must be addressed in a subsequent suitability analysis - would likely be resolved against the advisor under a facts-and-circumstances analysis. FINRA arbitration panels have historically been sympathetic to retirees who allege that known cash needs were overlooked, particularly when the advisor's own notes reflect awareness of those needs. The distribution suspension and redemption freeze would be viewed as materializing exactly the liquidity risk that should have been specifically evaluated given Patricia's situation. However, the outcome would be tempered by the fact that Patricia met all eligibility thresholds, the concentration was within firm guidelines, the advisor conducted documented due diligence, and the magnitude of the harm was amplified by an unforeseeable pandemic. A

regulator would likely require the firm to remediate its suitability documentation procedures for illiquid products, particularly the process for carrying forward known client obligations from prior conversations into point-of-sale suitability analyses.

Borderline Scenario 17

Topic: alternative_investments_unsuitable | Standard: FINRA Rule 2111 (Suitability), applicable as the governing standard for the AU

Fact Pattern

In mid-2019, Margaret Holloway, a 61-year-old retired school principal from suburban Ohio, met with her financial advisor, Dennis Farwell, at a regional broker-dealer. Margaret had been a client of Farwell's for approximately nine years. Her investment profile on file showed a net worth of approximately \$1.4 million, with roughly \$620,000 in liquid assets including a rollover IRA and a taxable brokerage account. Her stated annual income was \$58,000, composed primarily of her pension and Social Security. She had previously indicated on her new account form that she had a 'moderate' risk tolerance and a time horizon of 'ten or more years,' though she had verbally told Farwell on multiple occasions that she wanted her retirement savings to 'last' and that she was worried about outliving her money. She had no prior exposure to private placements or non-traded real estate products.

In August 2019, Farwell recommended that Margaret invest \$95,000—approximately 15.3% of her liquid assets—into a non-traded real estate investment trust focused on commercial office and retail properties across the Sun Belt. The product was structured as a Regulation D offering available only to accredited investors, which Margaret qualified for based on her net worth. The minimum hold period disclosed in the offering documents was five to seven years, with no secondary market available. Distributions were projected at 6.2% annually but were explicitly noted in the documents as not guaranteed and potentially funded from return of capital. The upfront commission to Farwell was 7%, and there was an additional 2% dealer-manager fee, for a total upfront load of approximately 9% of invested capital.

Farwell's file documented that he had reviewed the sponsor's offering memorandum and a third-party due diligence report prepared by an independent firm retained by the broker-dealer. The due diligence report noted that the sponsor had successfully operated two prior similar vehicles to completion, with investors in those prior programs receiving total returns modestly above projections. The report also flagged, in a section that Farwell initialed, that the sponsor's current portfolio was approximately 34% concentrated in suburban office properties, a segment facing 'emerging headwinds from remote work trends' as of late 2018. Farwell did not document any discussion with Margaret specifically about the office concentration risk or the possibility that distributions could represent return of capital rather than earnings.

At the time of the recommendation, Farwell had placed seven other clients into the same offering over the prior four months, generating approximately \$48,300 in total commissions across those placements. Margaret's \$95,000 investment generated a commission of \$6,650 for Farwell personally.

Margaret signed all offering documents, including a subscription agreement with an accredited investor certification and a separate document acknowledging she understood the investment was illiquid and

speculative. She also signed a customer acknowledgment form created by the broker-dealer stating she had discussed the risks of the investment, including illiquidity, with her advisor.

By 2021, the non-traded REIT had suspended its distribution payments, citing declining occupancy in its office portfolio accelerated by the COVID-19 pandemic. By late 2022, an independent valuation placed the net asset value of the shares at approximately \$6.20 per unit, down from the original offering price of \$10.00 per unit—a loss of approximately 38%. Margaret filed a complaint with the broker-dealer in early 2023, stating she had not understood the product could lose principal or stop paying distributions and that Farwell had emphasized the 6.2% yield as a way to supplement her pension income without clearly explaining the risks.

Farwell maintained that he had gone through the key risk sections of the offering documents with Margaret in their meeting, that she had signed all required acknowledgment forms, and that her ten-year-plus stated time horizon made the five-to-seven-year illiquidity period appropriate. He also noted that at the time of the recommendation in August 2019, the COVID-19 pandemic was not foreseeable, and that the product had performed in line with similar vehicles prior to the pandemic. The broker-dealer's supervision file showed that the transaction had been reviewed and approved by a principal who flagged no concerns at the time of sale.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Farwell acted appropriately: Margaret's documented profile—net worth of \$1.4 million, a ten-year-plus time horizon, moderate risk tolerance, and accredited investor status—places her within the general target market parameters the sponsor established for the offering. A 15.3% concentration in a single alternative investment, while meaningful, is not per se excessive for an accredited investor with over \$600,000 in liquid assets; the remaining 84.7% of liquid assets remained available. Farwell conducted or reviewed a third-party due diligence report, satisfying his firm's pre-approval process, and his broker-dealer approved the product for sale. The prior track record of the sponsor's completed programs, documented in the due diligence report, provided a reasonable basis for confidence in the sponsor's operational competence. Margaret signed multiple disclosure and acknowledgment documents specifically addressing illiquidity and the speculative nature of the investment. The COVID-19 pandemic represented an extraordinary exogenous shock that fundamentally altered commercial real estate dynamics in ways that were not anticipated by market participants as of August 2019. Courts and arbitration panels have generally been reluctant to hold advisors liable for losses attributable to unforeseeable macroeconomic catastrophes.

Arguments that Farwell violated applicable standards: The due diligence report he initialed specifically flagged 'emerging headwinds from remote work trends' affecting the suburban office concentration as early as late 2018—meaning the concentration risk in the portfolio's weakest segment was a known and documented concern at the time of sale, not a post-hoc revelation. Farwell's failure to document any discussion of this specific flagged risk with Margaret is a significant gap, particularly given that his file shows he initialed the relevant section of the due diligence report. Under FINRA Rule 2111 and its successor framework under Regulation Best Interest (Rule 15l-1, effective June 30, 2020, though this sale occurred in August 2019 and thus falls under Rule 2111), an advisor must have a reasonable basis to

believe the recommendation is suitable for the specific customer and must conduct reasonable diligence into the product's risks. FINRA Regulatory Notice 10-22 specifically addresses the duty to conduct a reasonable investigation of the issuer and the securities being recommended in private placements, cautioning that reliance on offering documents alone is insufficient and that advisors must independently assess key risk factors disclosed in those documents. The office concentration risk, specifically identified in the due diligence report, should have been communicated to and documented with Margaret. Furthermore, the 9% total upfront load significantly impairs the investment's ability to generate the projected returns, and there is a meaningful question under Regulation Best Interest's cost analysis requirement whether a product with such fees was in Margaret's best interest compared to available alternatives-though again, the August 2019 sale date technically precedes Reg BI's June 2020 effective date, leaving Rule 2111 as the governing standard. Under Rule 2111, there is no explicit requirement to analyze costs comparatively, but the total cost structure remains relevant to reasonable basis suitability. Margaret's stated concern about outliving her money and her moderate risk tolerance, combined with her complete lack of prior alternative investment experience, arguably conflict with placement in an illiquid, non-traded vehicle with return-of-capital distribution risk. The pattern of seven similar placements in four months raises the question of whether Farwell was engaged in a pattern of recommending the product without sufficiently individualizing his analysis for each client's specific circumstances-a concern raised in multiple enforcement actions involving non-traded REIT sales practices. The acknowledgment forms Margaret signed may be legally inadequate if the actual disclosure conversations were insufficient, as signed forms do not per se establish that a meaningful, comprehensible risk disclosure occurred.

Why Borderline

This scenario is genuinely borderline because it sits at the intersection of several competing considerations: the client objectively qualified as an accredited investor with a long time horizon that technically accommodates the illiquidity period; the advisor followed his firm's approval process and reviewed third-party due diligence; and the primary value destruction was driven by a pandemic that few foresaw. However, the advisor initialed a due diligence report flagging a known concentration risk and left no documentation that he communicated that specific risk to a client with no prior alternative investment experience who expressed concern about income reliability. The case also straddles the Rule 2111 / Regulation Best Interest transition period, and reasonable practitioners disagree about how aggressively pre-Reg BI cases should be evaluated against the emerging best interest framework that regulators were telegraphing throughout 2019. The customer's signed acknowledgment forms cut against liability but do not resolve the documentation gap on the specific flagged risk.

Borderline Factors

- Client met accredited investor qualification thresholds and had a documented ten-year-plus time horizon that technically accommodates the five-to-seven-year lock-up
- Advisor initialed the section of the due diligence report flagging office concentration risk but left no documentation of communicating that specific risk to the client
- Primary losses were substantially driven by COVID-19, an unforeseeable exogenous event, rather than solely by inherent product deficiencies present at the time of sale
- The sale occurred in August 2019, before Regulation Best Interest's June 2020 effective date, meaning the more lenient Rule 2111 suitability standard governs, yet regulators were already signaling heightened scrutiny of alternative investment sales practices
- Client signed multiple acknowledgment and disclosure forms, but her post-loss statements suggest she

did not meaningfully understand the return-of-capital distribution risk or the possibility of principal loss

- The 9% total upfront load is high but within the range historically accepted for non-traded REIT products, and the sponsor had a documented track record in prior vehicles
- Pattern of seven similar placements in four months raises questions about individualized analysis but could also reflect a legitimate product that suited multiple clients with similar profiles
- Firm's supervisory principal reviewed and approved the transaction at the time, providing Farwell with some institutional cover
- Client's stated concern about outliving her money and moderate risk tolerance create tension with illiquid alternative product placement, but her long time horizon and overall asset base arguably reconcile that tension
- Due diligence report was prepared by an independent third party retained by the broker-dealer, satisfying some elements of the reasonable investigation duty under FINRA RN 10-22, but reliance on that report without independent follow-up on flagged risks may be insufficient

Likely Outcome

A regulator or arbitration panel would most likely find a violation, but would characterize it as a disclosure and documentation failure rather than a wholesale suitability failure. The most defensible theory of liability is not that the product was categorically unsuitable for Margaret-her profile has genuine features that support the recommendation-but rather that Farwell failed to adequately investigate and communicate a specific, flagged material risk (the suburban office concentration) to a client with no prior alternative investment experience who was relying on projected distributions for income supplementation. Under FINRA RN 10-22's reasonable investigation framework, an advisor who initials a due diligence report section flagging a material portfolio risk and then fails to document any communication of that risk to the customer has not satisfied the duty to conduct a reasonable investigation tailored to the specific customer's circumstances. The signed acknowledgment forms are likely insufficient to cure this gap because they are generic in nature and do not address the specific concentration risk identified in the report. The broker-dealer's failure to have Farwell document his communication of flagged due diligence risks would also implicate supervisory adequacy. Damages would likely be assessed with some reduction for the pandemic's contribution to losses, potentially resulting in a partial award rather than full rescission. The \$6,650 commission and pattern of seven similar placements would likely be noted as contextual factors supporting the inference that product sales incentives influenced the recommendation, consistent with enforcement patterns seen in non-traded REIT and GPB Capital-related matters.

Borderline Scenario 18

Topic: illiquid_real_estate_investment | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on

Fact Pattern

In March 2022, Raymond Kowalski, a 58-year-old orthopedic surgeon in suburban Milwaukee, Wisconsin, met with his financial advisor of nine years, Derek Fontaine, at a regional broker-dealer. Kowalski had a documented net worth of approximately \$4.1 million, including a paid-off home valued at \$1.2 million, a medical practice worth an estimated \$800,000, a \$1.6 million brokerage portfolio consisting primarily of municipal bonds and large-cap equities, and roughly \$500,000 in liquid savings across checking and money market accounts. His annual income from his practice averaged \$620,000 over the prior three years.

Kowalski had told Fontaine repeatedly over the years that he was concerned about tax exposure from his practice income and wanted to find ways to reduce his annual tax liability. At their March 2022 meeting, Kowalski specifically asked Fontaine to show him 'something that helps with taxes and still makes money.' Fontaine presented a non-traded real estate investment trust focused on industrial warehouse and logistics properties, with a minimum investment of \$50,000 and a stated target holding period of seven to ten years. The offering documents disclosed no public trading market existed for the shares, redemptions were subject to a redemption plan that could be suspended at any time, and distributions were not guaranteed. The product offered pass-through depreciation deductions that Fontaine explained could offset a meaningful portion of Kowalski's ordinary income from his practice. Fontaine recommended Kowalski invest \$400,000 - roughly 25% of his liquid investable portfolio - in the non-traded REIT. Kowalski's new account form listed his investment objective as 'growth and income' with a 'moderate' risk tolerance and a stated liquidity need that he might need funds within three to five years if he decided to retire early or sell his practice. Fontaine noted in his file that Kowalski had mentioned early retirement as a possibility 'but not a plan,' and that Kowalski verbally confirmed during the meeting he understood the investment was illiquid. Fontaine also noted that Kowalski's \$500,000 in liquid savings plus ongoing practice income provided a substantial liquidity cushion separate from the investment. The firm's written supervisory procedures required concentration limits of no more than 20% in illiquid investments for clients with moderate risk profiles, but the procedures included a carve-out allowing a supervisor to approve exceptions when a client's documented net worth, income, and stated tax objectives supported a higher allocation. A branch manager co-signed the transaction ticket after a ten-minute review, noting the tax rationale and Kowalski's income level. The non-traded REIT subsequently suspended its redemption program in late 2023 amid rising interest rates and declining commercial real estate valuations. Kowalski, now seriously considering retiring in 2024 at age 60, contacted Fontaine to liquidate the position and was informed redemptions were suspended indefinitely. He filed a complaint alleging the investment was unsuitable given his potential early retirement timeline and that the 25% concentration exceeded appropriate limits for his profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Fontaine acted appropriately: Kowalski was a high-income, high-net-worth professional with substantial liquid reserves entirely separate from the investment. His \$500,000 in liquid savings and \$620,000 annual income provided meaningful liquidity buffers such that the \$400,000 illiquid position did not expose him to genuine financial hardship. Kowalski himself initiated the conversation asking for tax-advantaged investments, and the non-traded REIT's depreciation pass-through directly addressed his stated tax concerns. Fontaine documented Kowalski's verbal acknowledgment of illiquidity. The firm's exception process was followed - a supervisor reviewed and approved the concentration deviation from the 20% guideline, and the rationale (high income, tax objective, liquid reserves) was documented. The 25% concentration, while above the firm's default guideline, is not per se unreasonable for an investor of Kowalski's financial profile under FINRA Rule 2111 reasonable basis analysis. Kowalski's early retirement was described by him as a possibility, not a plan, a distinction Fontaine noted contemporaneously. The offering documents prominently disclosed illiquidity and suspension risk. Arguments that Fontaine violated applicable standards: The new account form listed a three-to-five-year liquidity need, which is directly inconsistent with a seven-to-ten-year illiquid investment. Under FINRA Rule 2111 and Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), a customer's stated liquidity needs are a

primary suitability and care obligation factor, and a product with a minimum seven-year hold materially conflicts with a potential three-year liquidity horizon. FINRA Regulatory Notice 10-22 specifically addresses due diligence and suitability obligations for private placements and illiquid products, emphasizing that advisors must evaluate whether the customer can realistically hold the investment to maturity. Kowalski's liquidity need was not purely hypothetical - he had a documented, age-appropriate, and financially plausible early retirement scenario. The 25% concentration in a single illiquid position exceeded firm guidelines, and the ten-minute supervisory review appears facially inadequate for a \$400,000 exception approval. NASAA guidance on non-traded REITs and DPPs has historically flagged concentration levels above 10-15% of liquid net worth as presumptively problematic for non-institutional investors. The fact that the redemption program was actually suspended - a disclosed but material risk - reinforces that the liquidity mismatch was real, not theoretical. Additionally, under Reg BI's care obligation, advisors must consider reasonably available alternatives; Fontaine's file does not reflect consideration of traded REITs or other tax-advantaged vehicles that would have offered similar tax benefits with greater liquidity.

Why Borderline

This scenario is genuinely borderline because Kowalski's financial profile is legitimately strong - his income, liquid reserves, and net worth all exceed typical thresholds where illiquid investments raise serious concern - yet his documented liquidity need on his account form directly conflicts with the product's holding period. The tax motivation was client-initiated and documented, the firm's exception process was technically followed, and Kowalski verbally acknowledged illiquidity. However, the three-to-five-year potential liquidity need, the 25% concentration exceeding guidelines, the cursory supervisory review, and the absence of documented consideration of more liquid alternatives each individually create compliance exposure. Reasonable regulators could disagree on whether the overall picture - a wealthy, high-income professional who asked for this type of investment and had substantial reserves - makes this a defensible recommendation or whether the account form's liquidity flag, combined with concentration and inadequate supervision, tips it into a violation.

Borderline Factors

- Client's stated three-to-five-year potential liquidity need on account form directly conflicts with seven-to-ten-year product holding period
- 25% concentration exceeded firm's own 20% guideline for moderate-risk clients, though exception process was used
- Supervisory exception approval was documented but facially brief (ten-minute review) for a \$400,000 illiquid position
- Client had substantial liquid reserves (\$500,000) and high ongoing income (\$620,000/year) that could support the illiquid position
- Tax reduction motivation was client-initiated and contemporaneously documented
- Client verbally acknowledged illiquidity but acknowledgment alone does not cure suitability deficiencies
- No documented consideration of more liquid tax-advantaged alternatives in advisor's file
- Early retirement described as possibility not plan, creating ambiguity about true liquidity horizon
- Redemption suspension actually materialized, converting theoretical liquidity risk into concrete harm
- NASAA non-traded REIT concentration guidance suggests 10-15% thresholds but these are not binding rules

Likely Outcome

A regulator would most likely find a technical violation but with significant mitigating factors that would reduce sanctions. The core problem is the documented three-to-five-year liquidity need on the account form paired with a seven-to-ten-year illiquid product - this mismatch is difficult to explain away regardless of the client's overall wealth profile. Under Regulation Best Interest (Exchange Act Rule 15l-1) and FINRA Rule 2111, a client's stated liquidity needs are an explicit factor in the suitability and care obligation analysis, and Fontaine's file does not reflect a documented resolution of this conflict. The absence of any recorded consideration of liquid alternatives further weakens the defense. However, given Kowalski's substantial liquid reserves, high income, client-initiated tax objective, verbal acknowledgment of illiquidity, and the firm's documented (if brief) exception approval, a regulator would likely treat this as a deficient process case rather than an egregious suitability failure. The probable outcome is a finding that the recommendation lacked adequate documentation and process to support the concentration exception and liquidity mismatch, resulting in a supervisory deficiency finding against the firm and a lesser individual finding against Fontaine, rather than a finding of willful unsuitability. Monetary relief might focus on the difference between Kowalski's actual position and what a properly documented alternative recommendation would have generated, rather than full rescission.

Borderline Scenario 19

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - specifically the customer-specific suitability obligation re

Fact Pattern

Marcus Reinhold, a financial advisor at a mid-sized independent broker-dealer, had been working with client Dorothy Stennis, age 64, for approximately three years. When she first became a client, Marcus completed an account application documenting her as a retired school administrator with a pension of \$4,200/month, Social Security of \$1,800/month, liquid savings of approximately \$820,000 in brokerage and bank accounts, and a paid-off home valued at roughly \$390,000. Her stated investment objective was 'income with moderate growth,' risk tolerance was marked as 'moderate,' time horizon was '10+ years,' and her tax bracket was listed as 22%. She had no prior experience with alternative investments.

Over the next two years, Dorothy's circumstances changed in ways that Marcus was partially aware of. Dorothy mentioned in a phone call in March 2022 that her daughter had moved back in with her after a divorce, and that she was 'helping out financially.' In August 2022, Dorothy told Marcus during an in-person meeting that she had withdrawn \$95,000 from her bank savings to help her daughter with legal fees and a rental deposit, but said she expected to be 'reimbursed eventually.' Marcus made a handwritten note of the daughter's situation in his personal notebook but did not update the firm's customer account records or formally document any change to Dorothy's financial profile, liquidity needs, or investment objectives.

In November 2022, a wholesaler for Pinnacle Industrial Income Partners, a non-traded real estate investment trust focused on last-mile logistics warehouses, presented the product to Marcus's office. The offering required a minimum \$25,000 investment, had a seven-year anticipated hold period, paid a projected 6.2% annual distribution (partially from return of capital during the first two years), charged a 7% upfront sales load plus 1.5% annual management fees and 0.25% annual distribution fees, and had no secondary market or redemption program during the first two years, with limited quarterly redemptions

thereafter capped at 5% of outstanding shares per quarter. The sponsor had completed two prior non-traded REIT programs, one of which returned investors approximately 87 cents on the dollar after eight years, and the other returned approximately \$1.06 on the dollar after seven years.

Marcus reviewed the offering memorandum and sponsor background, attended the wholesaler presentation, and spoke with the wholesaler for approximately 20 minutes about the logistics real estate thesis. He did not independently verify the financial statements, review the sponsor's prior fund audits, or contact any third-party due diligence firms. His broker-dealer's product review committee had approved the Pinnacle offering for sale, and the firm provided a four-page due diligence summary.

In December 2022, Marcus recommended that Dorothy invest \$75,000 in Pinnacle Industrial Income Partners. He explained the distribution yield, the real estate strategy, and the general illiquidity. Dorothy signed the subscription documents, including a purchaser questionnaire in which she self-certified a net worth of \$1.1 million (including her home) and annual income of \$72,000. Marcus did not ask Dorothy whether the \$95,000 withdrawal she had mentioned earlier had affected her liquidity position, nor did he update her account profile before the transaction. He also did not discuss how the seven-year hold period aligned with Dorothy's age of 64 or her potential need for funds given her daughter's situation. The \$75,000 investment represented approximately 10.3% of her original liquid assets, but given the \$95,000 withdrawal, it represented approximately 10.3% of her original portfolio or approximately 13.8% of her current estimated liquid assets of roughly \$543,000 (accounting for the withdrawal and some market fluctuation in her accounts).

In 2024, Dorothy contacted Marcus seeking to liquidate the Pinnacle position to help pay for unexpected home repairs totaling \$35,000 and ongoing support for her daughter. She learned that quarterly redemptions were oversubscribed and her request was only partially filled, receiving back approximately \$8,200 after fees. She filed a complaint alleging that Marcus never properly understood her financial situation before recommending the investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises two intertwined issues: (1) whether Marcus fulfilled his duty to know his customer before making the recommendation, and (2) whether his reasonable investigation of the product was sufficient.

Arguments that a violation occurred:

- Marcus had actual knowledge of a material change in Dorothy's financial circumstances - specifically, a \$95,000 withdrawal to assist her daughter, representing roughly 11.6% of her liquid assets - and failed to update her account records or reassess her financial profile before recommending an illiquid investment four months later. Under FINRA Rule 2111's customer-specific suitability obligation, a representative must use reasonable diligence to know and understand the customer's financial situation and needs. FINRA Regulatory Notice 10-22 emphasizes that firms and their representatives must conduct a reasonable investigation of both the product and the customer's profile when recommending private placements and direct participation programs. Marcus's failure to formally update the account records or even verbally

revisit Dorothy's liquidity position, income needs, and changed family obligations before recommending a seven-year illiquid product is a strong indicator of inadequate know-your-customer diligence.

- Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, including financial situation, liquidity needs, and time horizon. Marcus's awareness of the \$95,000 withdrawal and his failure to incorporate that information into his recommendation analysis could be viewed as a failure to exercise the required care.
- The product's illiquidity features - no redemptions for two years, limited quarterly redemptions thereafter, no secondary market - create particular risk for a 64-year-old client who had recently experienced an unexpected large cash outflow and was supporting a dependent family member, suggesting an ongoing and potentially increasing need for liquidity.
- Marcus's product-level investigation was limited. While his firm's product review committee approved the offering, FINRA RN 10-22 places an independent obligation on the recommending representative to conduct reasonable investigation beyond firm-level approval. His 20-minute phone call with a wholesaler and review of the offering memorandum, without independent verification of financials or third-party due diligence review, may fall short of the reasonable investigation standard, particularly given the sponsor's mixed track record (one fund returning only 87 cents on the dollar).

Arguments against finding a violation:

- Dorothy's overall financial position, even after the \$95,000 withdrawal, remained substantial. With approximately \$543,000 in estimated liquid assets, a \$6,000/month income stream from pension and Social Security, a paid-off home, and a self-certified net worth of \$1.1 million, she met the accredited investor standards and had significant remaining liquidity. The \$75,000 investment represented approximately 13.8% of her current liquid assets - a meaningful but not extreme concentration in a single illiquid product.
- Dorothy self-certified her financial information on the purchaser questionnaire, confirming her net worth and income. She signed subscription documents that disclosed the illiquidity, fees, and risks.
- Marcus did review the offering memorandum, attend the wholesaler presentation, and his firm's product review committee had conducted and approved its own due diligence. The FINRA framework does not necessarily require representatives to independently audit sponsor financials when the firm has conducted its own institutional review.
- The daughter's financial situation, while noted by Marcus, was described by Dorothy as temporary ('reimbursed eventually'), and a reasonable advisor might have interpreted this as a one-time expense rather than a permanent change to Dorothy's liquidity needs.
- The investment objective of 'income with moderate growth' and 10+ year time horizon facially align with a non-traded REIT paying a 6.2% distribution. At age 64, a seven-year hold period would bring Dorothy to age 71, still within her stated time horizon.
- NASAA's guidelines on non-traded REIT suitability generally suggest concentration limits of approximately 10% of liquid net worth for non-traded REITs. At 13.8% of estimated current liquid assets (or 10.3% of original liquid assets), Dorothy's position is near, but not dramatically beyond, common suitability thresholds.

Why Borderline

The core tension is between Marcus's actual knowledge of changed circumstances (the \$95,000 withdrawal and daughter's financial dependence) and his failure to formally update the customer profile, versus

Dorothy's still-substantial overall financial position and her own affirmative certifications on the subscription documents. Marcus did not ignore the customer entirely - he had a three-year relationship with her and general knowledge of her situation - but he failed to connect known information to the suitability analysis for a specific illiquid product recommendation. Reasonable regulators could disagree on whether Marcus's informal awareness of the withdrawal, combined with the fact that he did not formally reassess her profile, crosses the line from imperfect documentation into a substantive know-your-customer failure. The concentration level, while elevated from the original profile, remains within a range that some regulators would view as acceptable for a client of Dorothy's overall wealth.

Borderline Factors

- Advisor had actual but informal knowledge of a material financial change (the \$95,000 withdrawal) that was never incorporated into the customer's formal account profile before the recommendation
- Customer's remaining liquid assets (\$543,000+) and stable income (\$72,000/year) still presented a reasonable case for a \$75,000 illiquid investment, even with changed circumstances
- The concentration at approximately 13.8% of current liquid assets is above common non-traded REIT guidelines (typically ~10%) but not dramatically so
- Customer self-certified net worth and income on subscription documents, and signed disclosure documents describing the illiquidity and risks
- The advisor conducted some product investigation (offering memorandum review, wholesaler conversation, firm committee approval) but did not conduct independent third-party due diligence or verify sponsor financials
- The daughter's financial situation was described by the customer as temporary, creating ambiguity about whether it constituted a permanent change in liquidity needs
- At age 64 with a seven-year hold, the product's time horizon facially aligned with the customer's stated 10+ year investment horizon, though real-world liquidity needs proved otherwise
- Sponsor's mixed track record (one fund returning 87 cents on the dollar) raises questions about whether additional investigation was warranted but does not constitute a clear red flag

Likely Outcome

A regulator would most likely find a violation, though it may be characterized as a documentation and know-your-customer deficiency rather than a flagrant suitability failure. The strongest factor is that Marcus had actual knowledge of a significant cash withdrawal and family financial obligation that increased Dorothy's potential liquidity needs, yet he made no effort to formally reassess her profile or explore how these changes affected the suitability of a seven-year illiquid investment. FINRA enforcement panels and arbitrators have consistently held that advisors may not compartmentalize known customer information - once an advisor learns of material changes, the duty to incorporate that information into the suitability analysis is triggered, regardless of whether the customer volunteers it on a formal update form. However, the sanction would likely be moderate (enhanced supervision, fine, possible restitution) rather than severe (suspension or bar), given Dorothy's overall financial resilience and the fact that the recommendation was not facially unreasonable for a client of her general profile. The inadequacy of product-level investigation would likely be treated as a secondary factor, given the firm's own committee approval, but would reinforce the finding.

Borderline Scenario 20

Topic: illiquid_investments | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative

Fact Pattern

Margaret Chen, age 58, is a semi-retired corporate attorney who left her partnership at a mid-size law firm in 2021 to do part-time consulting work. She has a net worth of approximately \$4.2 million, of which roughly \$2.8 million is in liquid securities (stocks, bonds, and mutual funds) held across an IRA and a taxable brokerage account. She also owns a rental property worth approximately \$600,000 with no mortgage, and has \$800,000 in home equity in her primary residence. Her annual income from consulting and rental income is approximately \$185,000. She told her financial advisor, Kevin Novak, that she planned to fully retire at 65 and wanted to generate enough passive income to maintain her lifestyle without drawing down principal excessively. She expressed interest in diversifying beyond public markets after reading about alternative investments in a financial magazine.

In March 2022, Novak recommended that Chen invest \$420,000 - roughly 10% of her total net worth and 15% of her liquid portfolio - into a non-traded real estate investment trust focused on industrial warehouse and logistics properties. The program had a minimum seven-year holding period, no secondary market, and paid a projected 6.5% annual distribution. The offering documents disclosed front-end fees and commissions totaling approximately 11.5%, meaning roughly \$48,300 of Chen's investment went to upfront costs rather than being deployed into real estate assets. Novak earned a commission of approximately \$29,400 on the transaction.

Novak's notes from the meeting indicate that he discussed the illiquidity, the long hold period, the lack of a secondary market, the front-end load, and the risks associated with the commercial real estate sector. He documented that Chen understood these risks and noted her legal background as evidence of her sophistication. He also noted that her liquid portfolio of \$2.8 million (which would be reduced to approximately \$2.38 million after the investment) was sufficient to cover her living expenses and any emergencies for the foreseeable future.

However, several complicating factors emerged. First, Chen had mentioned in a previous meeting in January 2022 that she was considering helping her daughter purchase a home within the next two to three years, potentially contributing \$200,000 to \$300,000. This was noted in Novak's CRM system but not referenced in the March 2022 meeting notes regarding the non-traded REIT recommendation. Second, Chen was already invested in a separate non-traded oil and gas program to which she had committed \$250,000 in 2020, also recommended by Novak, bringing her total illiquid alternative investment exposure to \$670,000, or roughly 24% of her liquid portfolio (pre-investment). Third, Novak's firm had conducted its own due diligence review of the non-traded REIT sponsor, which had a limited track record - the sponsor had completed only one prior full-cycle program, which returned investors approximately 4.8% annualized over nine years, below original projections of 7%. Novak was aware of this track record but told Chen the current program's focus on logistics and warehouse properties represented a stronger thesis given e-commerce trends.

Chen did not file a complaint until late 2023, when the REIT suspended distributions due to rising interest rates impacting property valuations, and she simultaneously needed liquidity to assist her daughter with the

home purchase. She was unable to redeem her shares and alleged that Novak should have accounted for her anticipated liquidity needs and should not have concentrated her in illiquid products to this degree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Novak did NOT violate applicable standards: Chen is a sophisticated investor - a former corporate attorney with substantial net worth and income - who was informed of the risks, illiquidity, and fees. Novak documented the risk discussion. The 10% allocation of total net worth to a single illiquid product is within ranges many firms consider acceptable for accredited, high-net-worth investors. Even after both illiquid investments, Chen retained over \$2.1 million in liquid assets, which could comfortably cover her living expenses. Her expressed desire for passive income and diversification away from public markets aligned with the product's characteristics. The home purchase gift was described as something she was 'considering' rather than a firm commitment, and it was discussed in a separate meeting months earlier.

Arguments that Novak DID violate applicable standards: When viewed in the aggregate, Chen's illiquid exposure reached approximately 24% of her liquid portfolio - a level that many firms' internal guidelines would flag as excessive concentration. Novak's failure to incorporate the known potential \$200,000-\$300,000 liquidity need into his recommendation analysis is problematic, as it was documented in his own CRM. The sponsor's limited and underwhelming track record (one completed program returning below projections) raises questions about whether Novak conducted a reasonable investigation before recommending the product. The 11.5% front-end load significantly impaired the investment's ability to meet its return objectives, and Novak's \$29,400 commission creates an apparent conflict. Additionally, at age 58 with a seven-year planned retirement horizon, locking up 15% of liquid assets in a product with a minimum seven-year hold creates a timing mismatch that should have been more carefully evaluated.

Why Borderline

This scenario is genuinely ambiguous because the individual allocation (10% of net worth) falls within commonly accepted ranges for accredited investors, the client is sophisticated and was disclosed the risks, and her remaining liquidity was substantial. However, the cumulative illiquid concentration, the documented but unaddressed upcoming liquidity need, the sponsor's weak prior performance, and the high front-end fees collectively create a pattern that could be viewed as either acceptable personalized advice or a failure of reasonable diligence and holistic planning. Reasonable practitioners could disagree on whether the advisor's obligation extended to proactively incorporating the potential home-purchase gift into the recommendation, and whether aggregate illiquid exposure at 24% crosses the line for a pre-retiree.

Borderline Factors

- Cumulative illiquid investment concentration at 24% of liquid portfolio - above some firms' thresholds but below others
 - Documented potential liquidity need (\$200K-\$300K for daughter's home) not addressed in recommendation meeting notes
- Client sophistication as a corporate attorney mitigates but does not eliminate advisor obligation
- Sponsor's limited track record with below-projection returns on only one completed program
- 11.5% front-end fees significantly reduce effective deployment of capital
- Remaining liquid portfolio of \$2.1M+ still substantial relative to living expenses

- Seven-year hold period creates timing risk with planned full retirement at age 65
- Client voluntarily expressed interest in alternative investments
- Advisor's \$29,400 commission creates potential conflict but does not alone establish a violation

Likely Outcome

A regulator would likely find a violation, though perhaps not an egregious one. The primary issues are: (1) the failure to incorporate a documented potential liquidity need into the suitability analysis for the recommendation, which suggests the advisor did not consider the customer's full financial picture; (2) the cumulative illiquid concentration reaching 24% of the liquid portfolio for a client approaching retirement; and (3) questions about the adequacy of the advisor's product-level investigation given the sponsor's limited and underwhelming track record. While the client's sophistication and remaining liquidity provide mitigating factors, regulators have increasingly scrutinized aggregate illiquid exposure and have emphasized that advisors must consider known or reasonably anticipated liquidity needs. The case would likely result in a finding of a suitability violation with moderate sanctions, rather than a finding of fraud, with the advisor's documentation of risk disclosures serving as a mitigating factor in the sanctions determination.